



HALQA

The complete position

Apni committee, apnay log. Hisaab humara.

Your committee, your people. We keep the record, and we never hold your money.

Every subsystem, specified. Instrument, architecture, products, the HYPER model, identity and AML, the rails, the ledger, the algorithms, credit, the vault, security, the fee book, marketing and the business model.

17 August 2026 · Internal and counterparty use

Live: halqa-seven.vercel.app · API: halqa-api-delta.vercel.app

Provenance marks and stage tags

Nothing is stated without saying how strongly it is known and what it depends on. Both marks are used throughout.

Provenance	Meaning
verified	We ran it, a test, a query, or a document read in full.
modelled	Arithmetic or simulation. Not yet measured in the world.
reported	A third party said it, press, a company claim, or a paper.

Stage tag	What it needs
FUNCTIONAL	Works today, in production. Record-only, no licence.
BUILD	Specified. Buildable now, no external dependency.
GATE-2	Needs the payment-aggregator merchant agreement.
STAGE-2	Needs the CDC/DCC trustee and the AMC structure.

The single fact the whole company is built on

Halqa never takes possession of member money. Contributions settle directly from payer to recipient over Pakistan’s own rails; Halqa observes each settlement and writes it to a double-entry ledger. That is the entire relationship between this company and the money, at every planned stage, including the second, where savings sit with a licensed trustee in units registered in the member’s own name. There is no pooled account to misappropriate, delay or lend, so the control cannot weaken under commercial pressure: there is nothing to weaken.

What is inside

I	The instrument and the field	What a committee is; the four families; the market; who has tried and failed
II	Halqa as a platform	The no-custody architecture, the Stage-2 stack, and the product map
III	The circle types	Standard, open versus known, HYPER with its model, and asset-backed circles
IV	Trust, identity and money	Licensing, KYC and biometrics, AML, the rails, the ledger, the algorithms
V	Credit, rewards and the vault	The Sakh and the bureau, rewards and partners, the AMC/trustee savings layer
VI	Security, economics and go-to-market	Cybersecurity, the fee book, marketing, the business model, the plan

I

The instrument and the field

A committee is a precise financial machine, not a folk custom.

Its risk is not spread evenly; it is concentrated entirely in the early seats.

Roughly Rs 4 trillion rotates through it in Pakistan every year, and twenty-five attempts to digitise it have failed for one recurring reason.



ROSCA: the instrument, its pillars, types and the trust factor

n members, each pays c every period; each period one member collects the whole pot $n \times c$; after n periods everyone has paid the same and collected exactly once. It holds nothing at rest and earns nothing for itself.

The two halves of the instrument

- | **Collect early** you receive a lump sum before you have paid for it, an interest-free loan repaid in installments (the consumer).
- | **Collect late** you pay installments before you receive, forced saving under a commitment device (the saver).
- | **Total in equals total out** nobody pays interest, the organiser holds nothing, and the schedule is the whole contract.
- | **The trust factor** it runs on locality and social collateral, members judge traceability (“his house and shop are here”), and the obligation outranks rent.

The five structural pillars

- | **Order-setting** how seats are assigned, ballot, fixed, auction or prize.
- | **Contribution and cadence** c per period; daily, weekly or monthly.
- | **The pot and the payout** $n \times c$ each round, net-off of the collector’s own installment optional.
- | **Enforcement** who stands behind an early taker who stops paying.
- | **The record** the organiser’s register, which is exactly what Halqa digitises.

EXHIBIT 1 The four ways a committee sets its order

Family	How the order is set	Halqa
Ballot (parchi) Pakistan’s default	Names drawn by lot	Supported, with a verifiable commit-reveal draw
Fixed order (negotiated)	Seats agreed at formation by need or seniority	Core, pick-your-seat under band gates
Auction the Indian chit fund	Highest discount bid takes the pot	Refused, ~45-55% implied APR, riba in substance
Prize / “lucky”	Draw winner takes the pot and stops paying	Refused, a lottery wearing a committee’s clothes
Bazaar / asset & gold (a variant, not a family)	A normal circle whose goal is an asset or grams of gold	Supported, spot-settled, retention-of-title (§III)

The refusals are structural, not squeamish: each would break the riba-free positioning or the definition of a committee.

The market: committees in Pakistan

These figures appear in every Halqa document, each with a named source, because a regulator can check them. The committee is not competing with banks, it is competing with a cupboard.

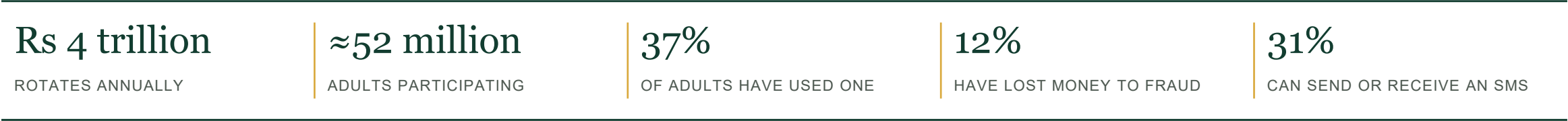
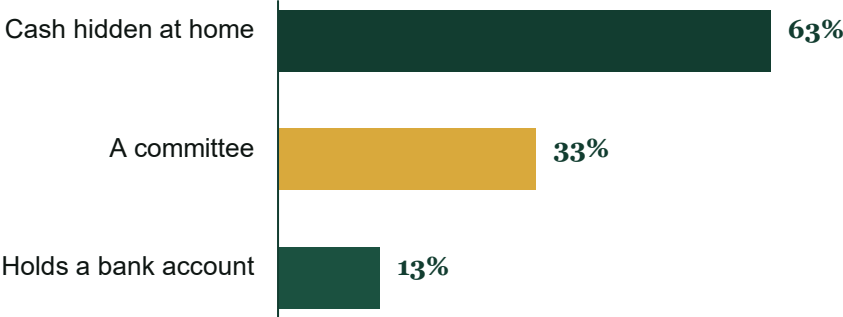


EXHIBIT 2 Where a Pakistani saver actually puts money



The binding constraint is income REGULARITY, not income level. Khan (2013) finds the genuinely poor are excluded by the groups themselves as bad risks; Kamran (2017) finds thirty unbanked informants, not one of whom had ever seen a member default. Both are true at once. Halqa is the on-ramp to formal finance, not a substitute for it, and never serves “the poorest.”

The rest of the picture, attributed

Figure	Source
13% of adults hold a bank account	Findex
36% save; only 4% of savers use a formal institution	FII
63% hide cash at home; 33% of savers use committees	FII
19% use the pot for a one-time durable purchase	FII
Women participate at twice the rate of men	FII
~100 million lack formal financial services	World Bank

reported. FII = Financial Inclusion Insights. Participation across sources runs 34-41%.

Competition, and the attempts that failed

Every failed committee product removed something the committee needs or added something it rejects, and each traces to a single root: an operator standing in the middle of the money.

EXHIBIT 3 The eight killers, a failure taxonomy

- | **1 Custody** a pooled account under one party’s control, the master key to every other failure.
- | **2 Guarantee burden** free, unpriced cover that becomes unbounded (eMoneyPool).
- | **3 Stranger pooling** no pre-existing trust graph, so adverse selection (Tanda, Puddle).
- | **4 Amputating the credit half** no rotation, so it is a recurring deposit (UBL).
- | **5 Adding interest** riba in the form committee culture defines itself against.
- | **6 Record without settlement** payments asserted, not settled, no usable credit history (khata apps).
- | **7 Monetising the member** fees; Kazi’s “Razq” and Oraan’s committee product stalled on them.
- | **8 Regulatory ambush** rules written for custody operators catch the whole category.

The graveyard, and what each proves

Attempt	Cause of death
Yahoo Tanda (US, 2018)	No pre-existing trust graph
eMoneyPool (US)	Guarantee economics
Braid (US, 2023)	Custody by proxy, sponsor bank froze it
Punjab co-ops (PK, 1991-92)	Rs 10-23bn lost; the case for no-custody
Sidra Humaid (PK, 2022)	~Rs 420M, 117 committees on borrowed trust
Esusu (US)	PIVOTED to rent-reporting → \$1bn; proves the thesis
Khata apps (PK)	Assert, don't settle, no credit asset

~~Esusu is the cleanest proof: the value is in recording an obligation people already honour, not in moving the money. Halqa is that thesis applied to the committee.~~

A balance-sheet institution cannot digitise the committee, because its value lives in exactly what a balance sheet must remove. That single fact also closes the category to JazzCash and Easypaisa, and it is stated by a live exhibit (UBL, next) rather than by argument.

The UBL Kommittee autopsy

A bank did digitise a “committee,” and it is still listed. Reading what it had to change to fit a balance sheet is the whole argument, made by a competitor rather than by us.

EXHIBIT 4 *What a balance sheet forced UBL to remove*

- | **No rotation** nobody collects early, so the credit half of the instrument is deleted. It is a recurring deposit wearing committee clothes.
- | **No peers** no group, no social spine, hence an “installment holiday” a real committee could never offer and remain itself.
- | **Interest added** a fixed return on deposits: *riba* in exactly the form committee culture rejects.
- | **The tell** early exit forfeits the bonus; missed months are “forgiven.” Both dissolve the commitment device.

The arithmetic, worked

24 months × Rs 100,000	Kommittee
You pay in	Rs 2,400,000
You receive (with bonus)	Rs 2,500,000
Bonus, on ~Rs 1.25M average balance	Rs 100,000
Effective return	≈ 2% p.a.
An ordinary savings account then	paid materially more

You give up everything a committee gives, the early pot, the group, the discipline, and receive less than a deposit pays. The lesson is not that UBL executed badly; it is that a balance-sheet institution cannot digitise the committee, because the value lives in what the balance sheet must strip out. That is why the door is open to a record-only facilitator and closed to the wallets.

Oraan, the closest comparable, and what its own pivot tells us

This is the one competitor a partner will name, so it gets its own page.

Oraan is the nearest thing to Halqa in Pakistan, and it is NOT failing. But it grew by leaving the custody committee behind, for gold and for B2B licensing. That pivot quietly proves our whole point: the value was never in holding the money.

| **Not failing** gold savings reportedly grew about 75 times in seven months, a bank-licensing deal, Epic Angels funding in July 2026.

| **But the engine moved** the growth is gold plus B2B licensing, not the custody committee it launched with.

| **Its gold, examined** Oraan Gold locks today’s price for delivery six to ten months later. That is deferred gold for currency, riba under the majority Bay’ al-Sarf view, yet it is marketed as Shariah-compliant.

| **Our answer** a spot-settled gold-goal committee is genuinely cleaner, and only that variant carries the Shariah label (§III).

| **Its licensing** Oraan was NOT SECP-licensed as a committee operator, and how it legally ran the custody committee is unclear even to the regulator.

The four that work, and the five laws

Operator	What it proves
Money Fellows (EG)	\$1.5bn processed, profitable; <8% of slots need its own capital
Hakbah (SA)	Made the regulator its first partner (SAMA sandbox)
Mapan (ID)	Village leader-agents on commission; the organiser network
The Money Club (IN)	Graduated exposure, history unlocks larger clubs

- | Keep the instrument intact.
- | Price the position, not the membership.
- | Grow through the organiser.
- | Underwrite with history, not documents.
- | Make the regulator a partner before scale.

Money Fellows prices the slot position, as we do, but is the circle’s counterparty, which we refuse. India’s Chit Funds Act 1982 regulates the auction family we already refuse.

II

Halqa as a platform

One decision defines the company: Halqa never holds member money.

It is at once the fraud control, the legal position and the moat.

On top of it sit the three roles, the Stage-2 custody stack,
and a product family that all reduces to one risk primitive.



The functions: the ledger, the AMC and the trustee stack

Halqa performs three roles and holds nothing. When savings and yield return, they run through a licensed trustee and AMC, not a bank, and never Halqa’s own balance sheet.

The three roles Halqa plays

- | **The Ledger** a double-entry record of every obligation and settlement, in integer paisa, admissible under the ETO 2002.
- | **The Treasury (record-only)** it schedules, collects over the rails and reconciles, but never takes possession.
- | **The Credit Bureau** it turns a settled repayment history into the Halqa credit score and the Credit Passport (§V).

The money path, Halqa is not in it

member → trustee collection account → fund units in the member’s OWN name → redemption to the member’s OWN account. Halqa’s registration is an SECP mutual-fund DISTRIBUTOR registration, not EMI (no balances issued), not NBFC (no funds deployed by us). Investment-adviser licensing is avoided by an execution-only menu that recommends nothing.

EXHIBIT 5 The custody stack, and who does what

Layer	Who	Role
Trustee / custodian	CDC · DCC	Holds fund assets and retained asset title
Digital AMC	Mahaana	Manages the fund; deploys under its own licence
Money-market fund	Al Meezan etc.	Daily-liquidity Islamic instrument
Distributor	HALQA	Introduces, records; holds nothing
Bank	,	None, ever. Only Halqa’s own corporate account

Why no bank, ever (chairman directive, 28 July). Under the NBFC Regulations 2008 every regulated mutual fund’s assets already sit with a trustee, the bank adds nothing but custody optics and a dependency. Bureau access likewise needs no bank: TASDEEQ ingests non-financial “alternative data” (telcos, utilities), so Halqa can join as a contributor directly (§V). The only bank account anywhere in the plan is Halqa’s own operating account at Gate 1, which is not a partnership.

The products, and how they relate

Every product is the same machine with different settings, and all of them reduce to a single risk primitive, the forward liability $L(k) = c \times (n - k)$, what a member still owes the group at the moment they collect.

EXHIBIT 6 The products, ranked by where the risk sits

Product	Cadence	Who it serves	Where the risk is	Stage
Standard, known (Apna)	Monthly	Both; a real social network	Low; the group bears it	FUNCTIONAL
Standard, open	Monthly	Strangers, score-gated	Priced; cover premium	FUNCTIONAL
Gold-goal / bazaar	Any	The inflation-exposed saver	Price risk to the member	FUNCTIONAL
Asset / installment	Monthly	The consumer buying a thing	Lowest, title is retained	PARTNER
HYPER	Daily	Daily-wage earners, anonymous	Highest, pledge is collateral	GATE-2
Vault (Growth / Safety / Float)	,	The saver	None to Halqa, held by trustee	STAGE-2

The consumer / saver split (Akif’s instruction). A consumer takes the pot early to spend, high forward liability, so PG enforced, cover premium mandatory, salary anchor, band-and-tenure seat gating, early-seat fee. A saver waits, liability falls to zero, lighter friction, routed to the vault and the AMC. A circle that is all consumers should not be allowed to form: a healthy roster needs late seats people actually want, which the vault’s yield makes possible for the first time.

One primitive, priced four ways

$L(k)$ is largest at seat 1 ($c \times (n - 1)$), falls by exactly one contribution per seat, and is zero at seat n . Because the decline is linear, seat position can be priced, gated by score band, quarantined by tenure, secured by a pledge, or collateralised by a retained asset title, and every control in this deck is one of those five moves on this single number. Nothing is priced by guesswork.

The standard committee as a social product

Before any feature, the reason people use committees at all, taken from thirty field interviews, because the product must serve what the instrument already does, not what a fintech wishes it did.

| **It protects money from relatives, not only from yourself** “when the money is in someone else’s possession, people cannot ask for it.” Locked-and-visibly-locked is a feature people buy.

| **The committee outranks rent** “we can compromise on rent or bills, but the committee installment should not be missed.” So its record is the hardest repayment signal a household owns.

| **The organiser is guarantor of last resort** whoever selects the members bears the loss, the main reason members feel safe.

| **Locality is the fraud control** members assess traceability, not character: “his house and shop are here.”

| **Privacy anxiety is real** fear of carrying the pot home and of neighbours knowing it arrived; digital settlement solves both, free.

What that dictates for the build

| **Keep the instrument intact** no rotation removed, no interest added, no holiday.

| **Digitise the register, settle the money** assert nothing; settlement is what makes the record a credit asset.

| **Reproduce or replace the organiser guarantee** either the cover facility does it, or seat arithmetic does, stated plainly, never left silent.

| **Keep the ceremony** the parchi draw becomes a verifiable commit-reveal, not a black box.

| **Honour the conventions** emergency turn swaps, Ramzan pause or double-month, the death convention.

Source: Kamran (2017), 30 unbanked informants, Jyväskylä; and the committee dossier field research. reported

III The circle types, in full

One machine, many settings. Every type shares the lifecycle, the ledger, auto-collection and identity; they differ only in who carries the forward liability and what stands behind it, the group, a priced premium, a pledge, or a retained title. HYPER is set out with its pricing model and its mass-default model in full.



How a committee works: the lifecycle

Every circle passes through four states. Two operations carry the legal weight: the 24-hour CONFIRMING window (a cooling period), and the atomic Start (one transaction, because turn position is the collateral of the whole model).

EXHIBIT 7 The four states, and what is true in each

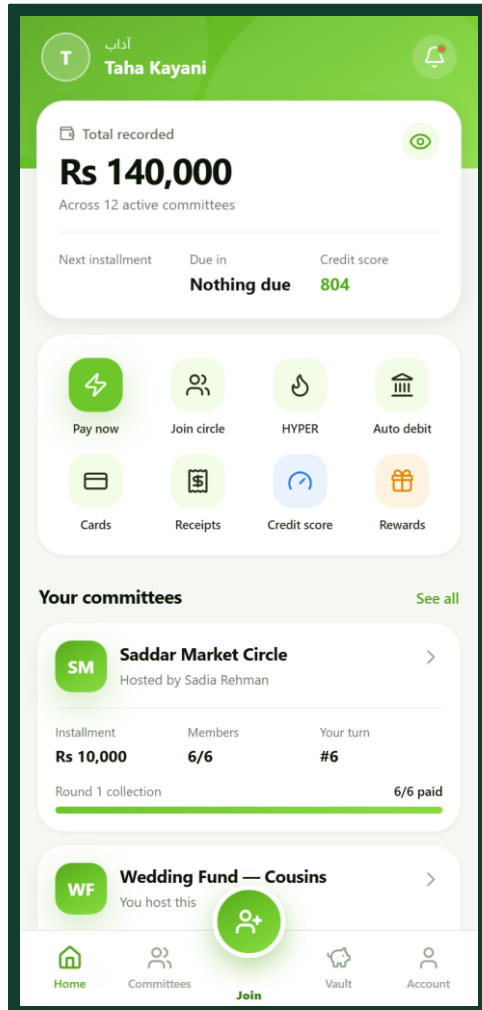
State	What is true	Ends by
FORMING	Join by invite code up to the cap. Nothing committed; anyone may leave; no money has moved. Pick-your-slot: the slot map shows only band- and tenure-eligible free seats, and a claimed seat is permanent.	Host presses Start
CONFIRMING (BUILD)	24 hours after Start. Roster locks to new joiners; any member may withdraw free, silent, unrecorded; agreements sign here; everyone sees the final roster, seat order, and their own forward obligation in rupees.	24h elapse
ACTIVE	Turn order frozen; every round created with dates; round 1 open. Joining refused. Each round members pay, the payout releases, the circle advances.	Final round settles
COMPLETED	Everyone paid identically and collected once. A clean completion raises the credit score and counts toward unlocking earlier turns next cycle.	,

The engineering that protects the seat

- | **Start is one atomic write** seat order frozen, every round created, round-1 installments generated, status flipped, all inside one DB transaction (budget 25s across the pooler). A half-applied start would leave the collateral disputable.
- | **Compaction** if a circle starts under capacity, seats compact by band, then chosen seat, then join time, so the eligibility guarantee holds against the actual size, not the cap.
- | **The 24h window has a precedent** SBP already mandates a 2-hour cooling period on branchless-banking cash-outs (April 2023). We give twelve times that on a twelve-month commitment.
- | **Variants** daily circles (<7 days run as plain rotations), mega circles up to 150 members (period ≤30d above 30 members), and goal circles (goalType / goalName / goalTarget).

CONFIRMING is a BUILD item, first on the discipline-layer order; the other three states are FUNCTIONAL and live in production today.

The regular committee, on the member phone



Live production build, [halqa-seven.vercel.app](#)

One glance at the whole relationship

— **Total recorded** Rs 140,000 across 12 active committees. Recorded, never held.

— **Next installment and credit score** Nothing due, and a live score of 804, side by side, so the member sees obligation and standing together.

— **Quick actions** Pay now, Join circle, HYPER, Auto-debit, Cards, Receipts, Credit score, Rewards, the whole product one tap away.

— **Your committees** each card shows installment, members, your turn and round progress; the bottom nav is Home, Committees, Join, Vault, Account.

— **Roman-Urdu greeting** a rotating regional greeting sits over the name, one of fifteen.

How it works: collection and the payday engine

The most consequential decision in the product, from a chacha saying “I pay as soon as my pay arrives.” The due date stopped being the collection event; payday became it, and the due date is now only the deadline for failures.

The mechanism, and the calendar

- | **Payday eve** balance-check notice, WhatsApp + push (SHIPPED).
- | **Payday morning** the mandate executes while the balance is at its monthly maximum, before the installment is even due. Government salaries land on the 1st, private payrolls the 1st-7th.
- | **Payday → 9th** retry ladder + Raast one-tap request + WhatsApp nudge on each failure. Only if every attempt fails does the member meet the late ladder.
- | **9th 23:59, then 10th 09:00** final sweep, then a single platform-wide payout release (BUILD), which is what makes one daily trustee sweep possible.
- | **Netting is default and non-optional** on your collection round, your own installment is deducted from the pot; net payout (n-1)c. It also breaks a real deadlock: a recipient’s own failed pull can no longer block their own payout.
- | **Every settlement writes a WhatsApp receipt** RCPT-<id> inside the settle transaction; early-bird bonus ×1.25 if ≥75% of payments land 3+ days early.

Verification, four layers, no bank, no open banking

Signal	How it works
Account title	The aggregator returns the registered holder name; it must match the CNIC name.
Our own collection pattern	The strongest signal, and free. The first successful collection each month marks a day money was present; two months prove the payday. A wrong declared day is found by the retry ladder.
Credit alerts	Opt-in, on-device notification read. Only a day, a coarse amount band and a source class leave the phone. Two months verify.
Payslip	One photo, downscaled on the device. Documentary proof on day one.

Engine src/lib/salary-pattern.ts: MIN_MONTHS 2, DAY_TOLERANCE 3, CLUSTER_TOLERANCE 5, MISDECLARE_SCORE_DELTA -15. A false declaration stops the fee discount and records a -15 event with its reason. The salary anchor is replace-only while circles are active.

How it works: features and security

The no-custody model removed the organiser guarantee, so protection is rebuilt from five things that are not a pool of money: position, tenure, legal paper, reputation, and linkage. Each is live in production today.

| **Turn position is the collateral** a late-turn taker pays in before they ever collect, so their loss to the group is zero. Score bands and tenure quarantine keep risky and new members out of the dangerous early seats (§IV algorithms).

| **Forward-liability gate (src/lib/forward-liability.ts)** required security = coverage × contribution × rounds-still-owed, sized only to early recipients. Satisfied by a host-verified PG/undertaking, else a pot holdback capped at 60%, released as clean payments land.

| **Weekly e-signed undertaking (iqrarnama)** 10 clauses, liquidated demand under Order XXXVII, acceleration, auto-collect + salary consent, bureau consent, arbitration, record-only. Typed name must match the account; gates create/join/pay with HTTP 428.

| **Mutual member-to-member PG** auto-signed in the join transaction; /start requires every active member's PG. The text is member-to-member, expressly NOT to Halqa.

The affordability engine, an invisible filter

| **Cash-flow cap** Σ contributions $\leq$ 33% of net monthly income, AND Σ contributions + known debt service $\leq$ 40% (the SBP DBR anchor, BPRD CL 29 of 2021; we sit stricter).

| **Forward-exposure cap** $\Sigma L(k)$ across all circles $\leq 4 \times$ net monthly income, worst case where every circle pays out early.

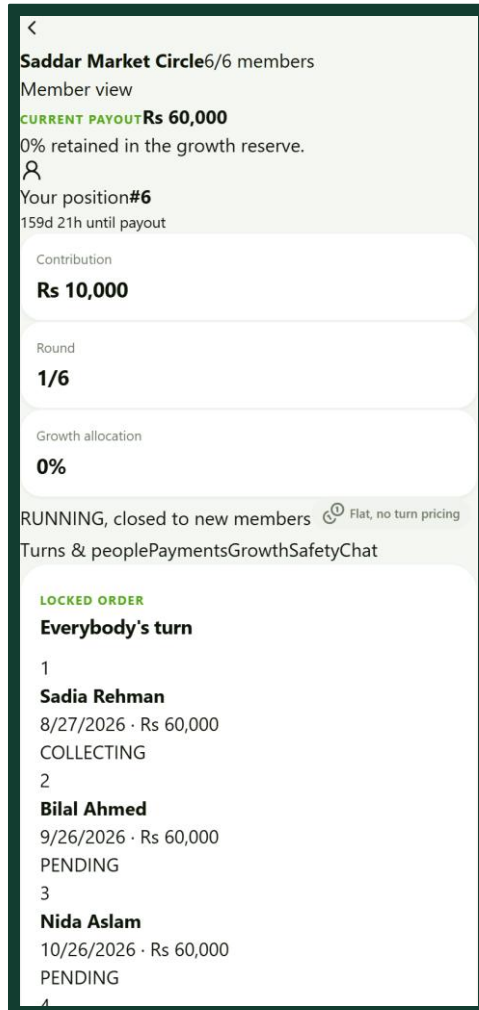
| **Concurrency cap** unverified $\rightarrow$ 1 circle, verified $\rightarrow$ 4; unproven host $\rightarrow$ 2, five clean $\rightarrow$ manual review (also the anti-Ponzi control).

| **The discipline that must not break** good history unlocks seats, circles and lower friction, it NEVER raises the money cap. Only new income evidence does. Escalating limits cause liquidity defaults.

| **Never a bare rejection** always show headroom in rupees: “you can add Rs 4,000 a month; circles up to Rs 4,000 are shown.”

Also live: family linkage (referral + guarantor + shared deviceId $\rightarrow$ a linked open default blocks join 403 and payout 409); recovery cases at outstanding + penalties + a 10% rehabilitation fee; an internal, never-public grace window; an 80% fee discount for income+employer verification.

Inside a committee: the locked turn order



Live production build, [halqa-seven.vercel.app](#)

The register, made legible

- Locked order** Everybody's turn lists every seat, member, date and status, the organiser's notebook, now tamper-evident and shared.
- Member view** current payout Rs 60,000, your position number 6, contribution Rs 10,000, round 1 of 6, and a countdown to your turn.
- Turn pricing, shown honestly** Flat, no turn pricing on this circle; the time-value fee or credit is optional and labelled.
- The circle tabs** Turns and people, Payments, Growth, Safety, Chat, the whole lifecycle in one place.
- Growth allocation** 0 per cent here; the earning engines stay dormant until the Stage-2 trustee structure exists.

The open (unknown) committee, and how it operates

Members claim no relationship, so nothing social is assumed and everything is verified. The open circle buys protection and pays for it; the known circle brings its own and pays a service fee instead. Same machine, inverted defences.

| **Who may sit where** the credit score gates which free seats a member may claim (it never reorders anyone). Rebuilding <550: last seats only, no marketplace. Fair 550-649: second half only. Good 650-749 / Excellent 750+: any free seat. Opening score 700; the live demo account sits at 804 (Excellent).

| **Tenure quarantine overrides the score** every new member, whatever their score, may take only one of the last three seats of any circle, until two clean completed circles + manual verification. Worst-case exposure to an unproven member is two contributions.

| **Verification is a hard filter** salary-account detection blocks a first-half seat with no proven salary pattern; a random 5% of members get a manual human check; NADRA face at join plus the full trigger list; location pin required.

| **The cover premium makes the pot whole** 1.5% of each installment, mandatory, capped Rs 300. If a member walks, the cover facility buys the vacated seat, so nobody's pot shrinks, which is why an open circle needs no group vote to let someone exit.

Where the price comes from, not a guess

$$r = 1.5 q (n-1)/n \approx 1.5 q$$

Expected loss per member-cycle is $q \times \text{mean } L(k) = q \cdot c(n-1)/2$, where q is the post-payout default probability. Premium collected at rate r on each installment is $r \cdot c \cdot n$. A 3× loading for adverse selection, cost and takaful reinsurance gives $r \approx 1.5q$, the premium rate is 1.5× the default rate, independent of circle size. So every price in the fee book is a function of one modelled q in the 0.3-1.4% band, and the first hundred completed circles reprice all of them.

Circle	Modelled q	Premium r
Known (Apna)	0.3%	0.5%
Open	1.0%	1.5%
HYPER	2.0%	3.0%

1.5% of a Rs 20,000 installment is exactly Rs 300, the premium sits on the chairman's ceiling and tapers in percent above it. modelled.

Security on the open committee

Because there is no social bond to lean on, the consequences are heavier and every one of them is spelled out to the member before they join. Nothing is hidden; the deterrent works only if it is known.

EXHIBIT 8 Open versus known, the consequence machinery

Control	OPEN (strangers)	KNOWN (Apna)
Early-seat fee (of pot, from the pot)	1.00% at seat 1, tapering to 0	1.75% at seat 1, tapering to 0
Cover premium (per round, of installment)	1.5% mandatory, cap Rs 300	0.5% optional, cap Rs 150
Late-fee ladder (of installment)	3% / 7% / 12% at D+1 / D+7 / D+15	1% / 3% / 6%
Credit-score damage	-15 / -30 / -50; post-payout default -200	-10 / -20 / -40; -200
Halqa auto-covers a miss	Yes, from round 1 (facility buys the seat)	No, the group covers
Weekly e-signed undertaking	Required	One signing at formation
Manual human check / NADRA face	Random 5% / join + full trigger list	Random 2% / at join
Exit at Level 3	No vote needed, cover absorbs it	Group vote (the group bears the loss)

The inversion in one line: open circles buy protection and pay for it with fines and a premium; known circles bring their own protection and pay a service fee instead. Mutual PG and auto-debit are required on both, there is no leniency tier.

Open and known committees, compared

The chairman’s own comparison, made numeric, plus the derivation of “position 5 of 12” from a forward-liability ceiling rather than a fitted ratio, which is why it generalises to every circle size.

EXHIBIT 9 Parameters that differ between the two

Parameter	OPEN	KNOWN
Join / pay an installment	Rs 0	Rs 0
Auto-debit / Mutual PG	Mandatory	Mandatory
Salary detection	Hard filter	Soft signal
Ticket ceiling	Affordability caps	Rs 25,000/mo, Rs 300,000 pot
Authenticity test	Not required	Host-spoke integrity, Tier 1
Undertaking	Weekly	Once at formation

Because the two differ only in who bears the loss, the same exit event resolves differently: an insured open circle does not contract when someone leaves (the facility buys the seat), so Level 3 needs no vote; an uninsured known circle genuinely loses a contribution per remaining pot, so it keeps the vote. That single difference, vote or no vote, is the cleanest way to explain to a member why open circles carry a premium and known circles do not.

Seat access by band, the L(k) ceiling

Rebuilding (<550): $L(k) \leq 2c \Rightarrow$ last 3 seats

Fair (550-649): $L(k) \leq 7c \Rightarrow k \geq n-7$

Good / Excellent: any seat

For n = 12, Fair → k ≥ 5: position 5 of 12, exactly as specified, derived, not assumed. It generalises with no further tuning (n=6 → any; n=20 → seat 13; n=24 → seat 17), and a rupee cap sits alongside the multiple so a large installment cannot slip through. Tenure quarantine overrides all of it: new members take a last-three seat regardless of score.

Graduation

- | **Level 0 (new)** last-3 seats only, any circle.
- | **Level 1** one KNOWN + one OPEN circle completed at last-3 seats, every payment on time, score ≥650, manual check → full seat access.
- | **Why one of each** a known circle proves you have a real network; an open circle proves you pay strangers. Neither alone proves both.

HYPER: what it is, and its parameters

Daily contributions, large roster, random queue. You do not know anyone else in the circle and you cannot see them. There is no human host, Halqa runs the queue, which deletes the organiser-fraud topology entirely.

The reference product (live in the app)

400	60	7	Rs 15,000
MEMBERS	DAYS	COLLECT A DAY	POT, HARD CAP

- | **Exposure is bounded by POT SIZE, not roster size** the pot is hard-capped (Rs 15,000 in the reference engine; the live app runs Rs 9,000 at Rs 150/day). That cap is what makes a 30% design default rate financeable at all.
- | **Seven members collect each day** six on the earliest days, seven thereafter, across the sixty-day cycle; ticket tiers Rs 100 / 150 / 200 / 500 per day.
- | **Anonymity is enforced at the query, not the UI** `CommitteeMember.displayAlias = "Member #7"`; the members endpoint returns alias, seat and status only, it never joins User, so no name, photo, phone, city or score crosses the wire. No chat, no profile link, no export.
- | **Anonymity removes social enforcement** so HYPER is the most heavily gated product on the platform, not the most open. The pledge (Stage 2) is the collateral the social bond provides everywhere else.

Parameters

Parameter	Value
Cadence / cycle	Daily / 48-60 days (60 recommended and maximum)
Seat assignment	Verifiable commit-reveal ballot only, no picking, no marketplace
Identity	Pseudonymous "Member #7"; no host
Rail	Raast, mandatory. No wallet fallback
Concurrency	One HYPER circle per member at a time
NADRA face	At join AND before every payout
Manual check	100% of first-time HYPER members
Grace / late ladder	12h; then 5% / 10% / 15% at T+12h / 36h / 60h
Score damage	-20 / -40 / -60; post-payout default -200
Exit	Substitution only, the standing queue always has a replacement

HYPER pricing, and why the cycle runs 48 to 60 days

You asked to charge much more on HYPER. You can, but the constraint is not our appetite: daily cadence turns every rupee of fee into a large annualised rate, and that rate is the exact number a hostile journalist or an SECP reviewer computes. The 400 banned lending apps were killed by it.

The early seat is a genuinely short loan

$$\text{APR-equivalent} = 2 \times 365 \times F \div ((n-1)^2 \times c)$$

F is the all-in cost to seat 1, who receives n·c on day 1 having paid c, and amortises by c/day to zero. Worked at Rs 500/day, 30-day cycle, pot Rs 15,000:

All-in cost to seat 1	As % of pot	APR-equivalent
Rs 276	1.84%	48%
Rs 450	3.0%	78%
Rs 750	5.0%	130%
Rs 1,500	10.0%	260%

Rs 1,500 on a Rs 15,000 pot feels like a modest 10%. It is 260% APR, nano-lender territory, and it ends the company. This is the single most important number in the HYPER design. The proposed hard internal ceiling is 48% APR-equivalent at the earliest seat, all-in: above a microfinance bank, far below anything predatory, and a number we can publish. The borrower’s TOTAL cost is the test, not Halqa’s cut.

The derived consequence: cycles ≥ 48 days

The risk-priced cover premium ($r \approx 1.5q$, $q \approx 2\%$) is 3.0% of each installment over n installments, so it is ALWAYS 3.0% of the pot, whatever n is. But the APR ceiling as a share of pot grows with duration: $0.48(n-1)^2 / (730n)$. Setting the two equal solves to $n \approx 47.6$.

Cycle	Ceiling (% of pot)	Premium	Verdict
15 days	0.90%	3.0%	impossible
30 days	1.84%	3.0%	breaches by 1.16%
48 days	3.03%	3.0%	the floor
60 days	3.81%	3.0%	works, 0.81% headroom

A 30-day HYPER cannot be both risk-priced and non-predatory, a hard result, not an opinion. The chairman caps HYPER at 60 days; the floor is 48; the recommended setting is 60. Doubling the duration doubles the rupee fee at the same APR, and collateralising with a Safety Vault pledge (Stage 2) collapses q, which is what makes a genuine 15 or 30-day HYPER possible later.

HYPER fees, and where the margin is

Every charge sits inside the 48% ceiling at seat 1, checked at circle creation, a circle whose fee stack breaches it will not instantiate. HYPER’s fees run about 45% above open circles, but the margin is in the underwriting, not the fee line.

EXHIBIT 10 Standard HYPER, 60 days, Rs 500/day, 60 members, pot Rs 30,000

Charge	Rate	Rupees
Cover premium	3.0% of each installment	Rs 900
Access fee	0.6% of pot at seat 1, taper (n-k)/(n-1)	Rs 180 → Rs 0
Late ladder	5% / 10% / 15% at T+12h / 36h / 60h	Rs 25 / 50 / 75
Instant-cover fee (Halqa fronts a day)	2% of the installment	Rs 10 / day
All-in at seat 1	3.6% of pot	Rs 1,080 → APR 45.4% ✓

The same rate, four times the ticket

At Rs 2,000/day, 60 members, pot Rs 120,000, the all-in at seat 1 is Rs 4,320, four times the rupees of the 30-day circle at a LOWER APR (still 45.4%). Duration and ticket size are the levers; the rate is fixed by the ceiling. That is the honest form of “charge much more”: the rate stays defensible and the volume does the work, six cycles a year instead of one, a roster of 60 instead of 12. HYPER’s cover premium (3%) deliberately exceeds the standard envelope; it is the price of anonymity, disclosed to the member in rupees, never in percent.

Where HYPER’s money is, the margin

60-day, Rs 500/day, 60 members

Premium collected = $0.03 \times 500 \times 60 \times 60$ = Rs 54,000

Expected loss = $60 \times 0.02 \times 500 \times 29.5$ = Rs 17,700

Gross margin per cycle = Rs 36,300

Cycles per year = 6

Per member per year (60) = Rs 3,630

Against a standard monthly circle, $1.5\% \times \text{Rs } 20,000 \times 12$ = Rs 3,600 premium, Rs 1,100 expected loss, Rs 2,500 gross margin per member per year, HYPER earns about 1.5× per member at half the ticket, roughly 3× on comparable flow, and it does it on velocity, not on rate. The natural launch channel is not the open internet: it is daily-wage workplaces, where an employer becomes the institutional anchor, one relationship, four hundred members, and the anonymity problem is solved by the anchor rather than by price.

Mass default: the score, and where the circle turns a loss for us

Four hundred people paying daily can vanish in countless ways: ten stop on day three, forty on day thirty, over a hundred scattered across the cycle. We do not try to list them. The model reads three things and turns them into one live number that says whether the circle still pays for itself or starts costing our balance sheet.

The three things the model reads

- | **How many vanished after taking their pot** only people who already collected count. Someone who quits before their turn received no money, so they cost the circle nothing.
- | **When each of them collected** a member who vanishes on day 5, right after taking the pot, still owes the circle almost the whole thing. One who vanishes on day 50 has already paid most of it back. Timing matters as much as headcount.
- | **The fee the circle earns if everyone pays** on the reference circle, Rs 900,000 (400 members, 60 days, Rs 250 a day, our 15 per cent).

The score R is simply the money the vanished members still owe the circle, divided by that fee income. Below 1, the fees cover the loss and we keep the difference. Above 1, the circle costs us more than it earns, and the gap comes off our balance sheet. It is computed from what has ALREADY happened, so it is a live measurement wired to automatic action, not a forecast. A plain default rate cannot do this job: the same 120 members give R 0.54 if they leave late and about 3 if they leave early. Because each pot is capped at Rs 15,000, the worst case is bounded by pot size, not by the 400-person roster, which is exactly what makes a 30 per cent design default rate financeable.

The whole spectrum, and what we do at each point

Score R	Where the circle is	What we do
below 0.80	Self funding	Nothing. It pays for itself with margin
0.80 to 1.00	Design band	Nothing. Where a normal cycle sits
1.00 to 1.25	Absorbing	Tighten new admissions; raise the next auction reserve
1.25 to 1.60	Cover engages	The cover facility pays; members still paid on time; we pursue the vanished as advances
above 1.60	Takaful attaches	Aggregate cap reached; the reinsurer carries it; freeze new circles on the tier

The engine also answers the one question an underwriter asks: how many more people could vanish, at the current average day, before the circle tips into the next band. Three worked cases, live, comfortable and catastrophic, are on the next page.

Three cases: where we stay in profit, where we manage, where only the cover saves us

The same circle, read three ways. In each, members vanish after taking their pot, scattered across the days shown, while seven members collect each day. The reference circle earns Rs 900,000 in fees if everyone pays. This is the spectrum a partner should see before anything else.

We stay in profit	The cover carries it	Only the cap and takaful save us
120 members vanish, scattered across the LATE days, average day 46. Between them they still owe the circle Rs 483,000. Score R = 0.54 The Rs 900,000 of fees more than covers it. The circle keeps Rs 417,000. We do nothing; it pays for itself.	150 members vanish, average day 32, mid cycle. Between them they owe Rs 1,207,500. Score R = 1.34 Fees cover Rs 900,000; the gap, Rs 307,500, is our loss. The cover facility pays it, every remaining member is still paid on time, and each vanished member becomes a recovery case. Bounded, and reinsured above the cap.	200 members, half the roster, vanish EARLY, average day 12, right after taking their pots. Between them they owe Rs 2,760,000. Score R = 3.07 Our loss is Rs 1,860,000. The aggregate cap is breached, so the takaful reinsurance attaches and new circles on the tier freeze. The loss is bounded ONLY because each pot is capped at Rs 15,000.

This is why HYPER is the most gated product we run: a score of 650 or more, two clean circles, verified income, and from Stage 2 a pledged Safety Vault. It is why the pot is capped and the rail is Raast only. The whole design exists to keep the third case rare, and survivable when it comes.

HYPER: requirements, the queue and security

The most gated product on the platform. Because there is no host and no roster until instantiation, HYPER needs a matching engine that no other circle type has, plus a same-day auto-cover backstop so the recipient never waits.

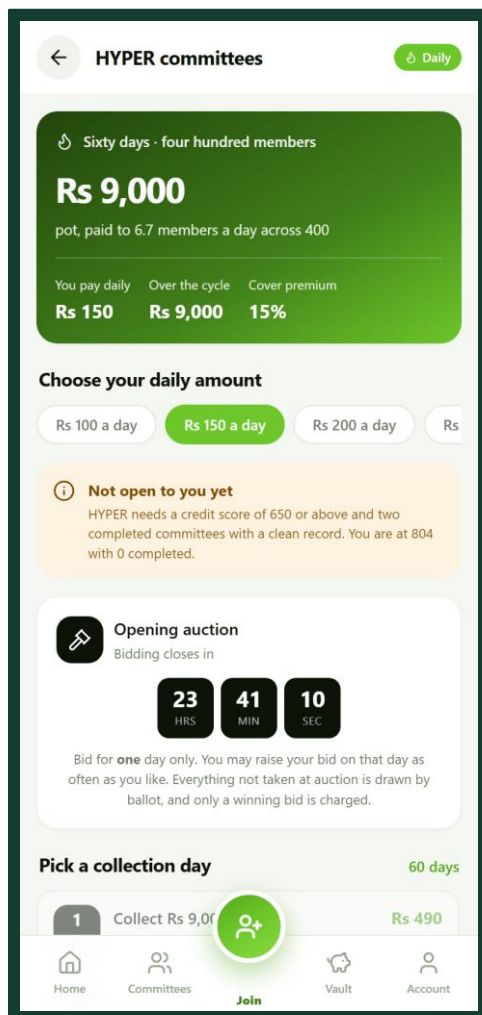
Entry requirements

- | **Credit score ≥ 650 , two completed circles clean, verified income** the live app enforces this exactly, an 804-score account with 0 completions is refused with the reason shown.
- | **From Stage 2, a pledged Safety Vault covering L(k)** a member whose pledged units cover their forward liability cannot default up to that pledge. In HYPER the pledge is the collateral the social bond provides elsewhere.
- | **Raast, mandatory, verified at creation** a HYPER circle cannot instantiate unless every member has a verified Raast credential. A 1.5% wallet pull on daily cadence would cost Rs 27,000 against a Rs 30,000 pot, 90% of one pot. HYPER is a product on Raast or it does not exist.
- | **Stage-1 seats** last-3 only for everyone below Excellent; NADRA face at join and before every payout; 100% manual check for first-timers.

Queue mechanics, the part unique to HYPER

- | **Intake** a member joins a POOL, not a circle, one pool per (ticket tier $\times$ cycle length). The screen shows their queue position and projected start, and nothing about anyone else.
- | **Instantiation** when a pool reaches n eligible members, a circle forms and the commit-reveal ballot runs; members are notified with seat, collection date and forward liability in rupees.
- | **Assignment guards** no two device-, IP-, referral-, guarantor- or address-clustered accounts in one circle (the only collusion attack left under anonymity is stacking a circle with your own accounts); band-and-tenure sort so the ballot is random within what each may hold.
- | **No pay, no pot** you only collect on your day if you are paid up. Miss, and the cover facility pays the day's recipient at T+12h so nobody waits, then you are chased and, after three misses, removed. A non-payer is never handed a pot, and the netting means your own installment for your collection day is taken out of the pot, not paid separately.
- | **Payout + backstop** single daily settlement 09:00 PKT, Raast, netted; substitution from the standing pool the same day, so there is no vote, no restitution and no exit ladder.
- | **Rejoin** clean completion offers the next cycle with queue priority, the retention loop that makes lifetime value high despite the small ticket.

HYPER on the phone, gated in the app



Live production build, [halqa-seven.vercel.app](#)

The most gated product, shown honestly

- The reference product** 60 days, 400 members, pot Rs 9,000 (Rs 150 a day), seven collecting a day.
- Cover premium 15 per cent, disclosed** the price of anonymity, shown as a rate and in rupees over the cycle.
- The gate, enforced live** Not open to you yet. HYPER needs a score of 650 or more and two completed committees. You are at 804 with 0 completed.
- The opening auction** a 24-hour bid for one day only; unallocated days go to ballot, and only a winning bid is charged. No per-round discount auction.
- Pick a collection day** every seat priced by position, the earliest carrying the access fee.

Asset-backed committees

The sharpest question in the brief: how does a member take a thing at their turn without owning it outright until they have finished paying, “not by us necessarily, just take it away from the guy”? The answer needs Halqa to own, hold, finance and repossess nothing.

The mechanism, retention of title

- | **Conditional sale, title retained** under the Sale of Goods Act 1930 property passes when the parties intend and a seller may reserve title until conditions are met. Possession and use pass at the member’s turn; legal title does not.
- | **Held by a security trustee, for the circle** the dealer is paid in full at round k and has no reason to enforce afterwards, so the retained title is assigned to a trustee (CDC or DCC) who holds it for the circle’s members, releases at close, and enforces on default.
- | **The retention IS the forward liability** retention period = (n–k) rounds; discharged by the member’s own remaining contributions = L(k); title releases when their own obligation reaches zero. Nothing changes operationally, but if they stop, there is now a thing that can be taken, and the proceeds go to the eleven people they left short.
- | **NOT ijarah** the pot pays the dealer in full and the member’s continuing payments fund OTHER members’ pots, not a lessor, so calling them “rentals” is a fiction. An ijarah variant exists only where a modaraba actually funds the asset (\$V).

On default: after three missed contributions the TRUSTEE enforces (not Halqa), recovers the asset (an administrative act via the charge endorsement, not litigation), sells it, and settles, outstanding L(k) into the CIRCLE first, then costs, then the SURPLUS back to the member. Under an ijarah the proceeds would make the lessor whole; here they make the circle whole.

Coverage improves every month

Month	L(k)	Bike value	Cover
3	Rs 90,000	Rs 118,000	1.31×
6	Rs 60,000	Rs 112,000	1.87×
9	Rs 30,000	Rs 106,000	3.53×
12	Rs 0	Rs 100,000	title transfers

The liability falls by c per round while the asset depreciates far more slowly, so the installment circle is structurally the SAFEST product in the range, the only one where the security appreciates relative to the debt. Everyone receives ownership on the same day: each member’s retention is discharged by their own contributions, and every member’s contributions end at round n, one Circle Close batch release at n+7 days, one instruction file to the trustee, one Ownership Certificate each.

Three invariants: no member’s title depends on another’s payment; a member who finishes early releases early; if the circle collapses, each retention still stands on its own bilateral contract.

The trustee, the registry and our position for the regulator

Recovery is only as good as the registry, so the launch set is exactly the asset classes where a registry or a remote lock exists. And Halqa’s role is written for an SECP reviewer to read in one column.

EXHIBIT 11 Where retention works, and where it does not

Asset class	Recovery	Verdict
Motorcycles, cars, rickshaws, loaders	Registration in the trustee’s name, or a charge endorsement at Excise & Taxation, strong, already standard for leased vehicles	Launch here
Machinery, generators, sewing/embroidery	Charge registered against the serial number, good	Launch here
Phones, tablets	A locking chip or blocker is preinstalled: on default we disable the device remotely, exactly as handset financiers already do. Miss and it stops working until you clear, or we take it back	Launch here, with a lock
Fridges, ACs, appliances with a smart module	The embedded chip lets us cut the appliance off remotely on default, then repossess if unpaid. Without a chip there is no registry, so retention is real but weak	Chip-equipped only; else cash goal circle
Plain furniture, unchipped goods	No registry and no lock	Run as ordinary cash goal circles
Cash (no asset)	None possible	Secured by L(k), position, PG, Safety Vault

Halqa’s position, stated for the regulator

- | **Does NOT own the asset** the security trustee holds title, for the circle’s members.
- | **Does NOT hold title, finance, repossess, or receive proceeds** the CIRCLE funds the purchase; the TRUSTEE enforces; proceeds go to the circle, then the member.
- | **Does NOT take credit risk** beyond the published, capped cover facility.
- | **DOES** introduce, schedule, collect, record, post discharge records, file credit events, assemble the evidence pack.

That keeps Halqa outside the NBFC regime (which attaches to lending and to pooling-and-deploying) and outside the leasing regime (which attaches to owning and leasing). Per completed asset circle Halqa earns Rs 3,600-8,400 from counterparties, Goal Direct-Pay commission 1-3%, trustee-structure origination 2-4%, a 1% early-transfer fee, and the member pays Rs 0 beyond the price of the bike they were going to buy anyway. Highest margin, lowest risk.

Two counsel items to close: whether introducing a member to a dealer and trustee for a commission is arranging credit; and that a retention-of-title assignment to a trustee for a group of individuals is enforceable as drafted.

Default prevention, and the cover facility

Akif's instruction was to build so there is no incentive to default, or consequences so great that nobody does, and to cover defaults on the balance sheet and reinsure with takaful. The archive says an unlimited platform guarantee is what killed eMoneyPool. Both are right, and the reconciliation is structural.

The seven layers that stand behind an early taker

- | **Turn-position quarantine** late-turn takers pay in before they collect; their loss to the group is zero.
- | **Tenure progression** new members restricted to the last three seats until two clean circles + manual verification.
- | **Legal instruments** the weekly undertaking (Order XXXVII summary suit) and the mutual member-to-member PG.
- | **Reputation** the credit score and the Credit Passport, exporting the hardest repayment signal a household owns.
- | **Family / linked-account withholding** a linked open default blocks join and payout.
- | **The forward-liability holdback** sized to $L(k)$, capped at 60% of the pot, released as clean payments land.
- | **The cover facility** priced, capped, subrogated, reinsured (right).

There is no cancel button: a five-level exit instead

A member who wants out is offered, in order: a free silent withdrawal inside the 24-hour window; SUBSTITUTION, where a replacement pays the leaver their money to date directly and nobody loses anything (the target for about 90 per cent of exits); a group-approved exit; a hardship exit; and only then abandonment, which triggers full recovery. The fine on a group exit is one installment, 70 per cent to the remaining members and 30 per cent to Halqa. How a leaver is made whole with no pool: if they paid p installments before collecting and the circle shrinks, the p members who ALREADY collected each end up ahead by exactly one contribution, so each owes the leaver one contribution, settled at cycle close. On an insured circle the cover buys the vacated seat instead, so no pot shrinks and no vote is needed.

The cover facility, insurance, not a guarantee

- | **Priced** premium $r \approx 1.5q$, not free, not bundled. eMoneyPool's guarantee was free, so unpriced, so unbounded.
- | **Capped, at four published levels** per circle ≤ 1 pot; per host/month $\leq$ Rs 500,000; per member $\leq$ their own forward liability; aggregate/month $\leq 2\%$ of paid-up capital.
- | **Subrogated** cover is an ADVANCE to the defaulter, not a gift, it opens a recovery case for the full amount plus a 10% rehabilitation fee, and Halqa stands in the circle's shoes.
- | **Reinsured** above the aggregate cap, a takaful operator carries it, exactly what Akif meant by insuring the exposure.

Set-off on default, in strict order

1 Safety Vault pledged units (redeem, pay the recipient) · 2 Growth Vault, only under a separate signed set-off clause after a 7-day cure · 3 pot deductions in live circles ($\leq 60\%$ cap) · 4 sponsor/restitution claims assigned to the cover facility · 5 the ijarah asset · 6 recovery case, Order XXXVII. Two rules never bend: the set-off runs in favour of the CIRCLE'S MEMBERS, never Halqa; and Halqa never seizes, it instructs a trustee under a pre-signed mandate, or hands an evidence pack to a court.

Mechanics common to every committee, part one

Field-tested conventions that the platform reproduces exactly, because the value of a committee lives in them. Each is on the ledger, each preserves the double-entry invariant, none of them lets anyone buy a clean record.

Sponsor / pay-on-behalf, the best growth loop

- | **It converts a would-be default into a member-funded save** and the sponsor is usually not yet on the platform, so it is a viral loop.
- | **Reciprocal (default, free)** the sponsor pays your round k , you pay their round $k+1$, a swap of obligations, qard hasan in substance, clean.
- | **Pot deduction / cash** the amount nets from your pot at your turn; or settled off-platform with Halqa recording the substitution only.
- | **Priced is labelled honestly** premium capped at 5% of the installment, Halqa takes 10% of the premium; never the default, never Shariah-labelled, the free option always shown first and larger.
- | **Guard rails** ≤ 2 open sponsorships held, ≤ 5 carried; blocked against an open recovery case; a sponsored payment is on-time for the circle and NEUTRAL for the score, it earns no streak and cannot buy a record.

Net-off, half-shares and multi-slots

- | **Net-off (“hissa kat lo”)** the collector’s own installment is deducted from the pot instead of paid in cash, a Rs 120,000 pot pays out Rs 110,000. The LEDGER writes both legs (method NET_OFF, its own receipt and idempotency key); only the cash nets, the record never does. Counts on-time at full weight, unobjectionable on Shariah tiers.
- | **Half-shares (“aadhi kameti”)** two people share one seat at $c/2$, splitting the pot; or one member holds two seats. Joint-and-several liability stated at join; scoring accrues at half exposure; multi-slot members count twice against concentration limits. The UI hides it behind one question: “full seat or half seat?”
- | **Declared organiser compensation** the host may claim seat 1 as organiser’s privilege (also the maximum liability $L(1)=c(n-1)$, so real skin in the game) plus an optional recorded tip, no hidden margin, no pot access, no Halqa fee on members.

Mechanics common to every committee, part two

The ceremony, the calendar exceptions, the human events, and the policies that a fintech usually gets wrong, phone numbers, chat, and what happens when a member dies.

- | **Verifiable commit-reveal ballot** the parchi ceremony IS the institution; a server random() is a black box, and black boxes get accused of rigging. The server publishes $H=SHA-256(seed)$ before the draw; each member adds a clientSeed in the 24h window; order = sort by $HMAC-SHA256(seed, id||seeds)$; the seed is revealed after so anyone recomputes it from the receipt. Kills “the host rigged the parchi.” No competitor in the archive has this.
- | **Ramzan conventions** pause for the Eid month, or double the month before it, a host-set schedule exception, visible at creation.
- | **Replacement protocol** host-approved substitution; paid months transfer to the SEAT, not the person; the replacement signs the full agreement set; both events are permanent ledger entries.
- | **Death and incapacity** the universal convention, a deceased member who had collected is not pursued if the family cannot pay; one who had not collected is paid out early. In the mutual guarantee now, priced by circle-level takaful at Stage 2. Validated by KSFE (Kerala), which waives future liability up to ₹10 lakh on a prized chitty at death.

Phone numbers and chat, policy matters more than code

Circle	In-app chat	Phone numbers
Known / Apna	Group thread on by default	Visible after the 24h window, they already know each other
Open	Group thread on	NEVER shown; a mutual “request contact”, host sees a masked number
HYPER	No chat at all	Never, anonymous by design

Handing eleven strangers each other’s phone numbers is the exact mechanism behind the harassment complaints that got 400 lending apps banned. Halqa does not need to send a single message to be blamed for what happens on a number it published, the cost of the restriction is near zero, the cost of getting it wrong is the company. Chat is also where recovery evidence lives: retained for the cycle plus 24 months, exportable into the evidence pack, with a report button that files a SecurityEvent.

IV Trust, identity and money

The record-only architecture is a legal position, not a slogan, the regulated activities do not occur, so the licences governing them cannot attach.

On top of it: identity and biometrics, anti-money-laundering, the payment rails, the double-entry ledger, and every algorithm that prices and protects a seat.



Licensing: the licences that do not attach, and the gates

Pakistan’s heavy financial licences each attach to a specific activity. The regulated activity does not occur anywhere in the architecture, so the licence cannot apply. Getting legal is a company registration, not a financial licence.

EXHIBIT 12 The three heavy licences, and why each does not attach

Licence	Regulator	Triggered by	Halqa’s position
EMI, Electronic Money Institution (Rs 200M capital)	SBP	Issuing or holding electronic money	Issues no balances, holds none. Points are never cash-redeemable.
NBFC, Investment Finance Services	SECP	Lending, or pooling and deploying member funds	Members fund each other. Stage-2 funds are deployed only by a licensed AMC under its own licence.
PSO / PSP, payment system operator	SBP	Operating a payment system	Operates none; initiates over a licensed aggregator’s system.

The one question that decides everything

Does Halqa hold the pot? Version A, the notebook: money moves member → member, Halqa only records, needs NO financial licence, just a company. Version B, Halqa holds or pools funds, needs a heavy licence. The strategy is to stay Version A permanently and reach anything Version B only through a licensed PARTNER (aggregator, trustee, AMC), never by buying the licence. Independently validated eight years early by Mehmood et al. (ITU Lahore / U. Washington, Gates + Karandaaz): the ROSCA app can serve as a conduit to a member’s own wallet without a deposit licence.

The three gates to real money

Gate	What it is	Cost
1 · Legitimacy	SECP Pvt Ltd + FBR NTN + operating account	Rs 20-30k, weeks
2 · Real payments	Aggregator merchant agreement (MDR only) + WhatsApp + NADRA	Rs 80-180k, 4-8 wk
3 · Scale	Trustee + AMC via partner, never buy EMI/NBFC	partner terms

Rails economics. Raast ≈ 0% (P2P free, P2M subsidised), Safepay 3.3%+Rs 33, wallet pull Rs 300-600. Push Raast everywhere; wallets are the expensive fallback. A recurring counsel opinion (~Rs 50-100k) confirms Version A needs no SBP/SECP financial licence.

The user terms, and the first-clean-actor position

What a member actually signs, what it means, and the honest limits of enforcement, including the facts we will NOT overstate to a regulator who can check them in ten minutes.

The legal corpus a member accepts

| **Terms of Service v1.0** agreement (20 sections), privacy, cookies, ads, community, fees, TERMS_VERSION accepted at signup, recorded as a TOS_ACCEPTED security event.

| **The weekly undertaking (iqarnama)** 10 clauses; a liquidated demand enforceable under Order XXXVII CPC summary suit; acceleration; auto-collect and salary consent; bureau consent; arbitration; record-only status. Typed name must match the account; optional drawn signature stored with SHA-256 + IP + timestamp.

| **The mutual member-to-member PG** auto-signed in the join transaction; the text is expressly NOT to Halqa.

| **Honest limits (verified)** default on a PG is CIVIL, no jail. The only jail route was \$489-F (dishonoured cheque), and cheques were DROPPED from the model. Recovery is Order XXXVII, which needs a court decree first; we cannot self-seize or claim we can jail defaulters.

The first-clean-actor move

Pakistan regulated nano-lending after the deaths; India regulated chit funds after Saradha. The pattern is that Pakistan will regulate digital committees after its first large platform fraud, so the first-clean-actor window is real. The move is to approach SECP voluntarily while the sitting Chairman is mentoring, seek the Regulatory Sandbox (its rules admit unregistered startups intending to register), and get one model clause into the first consultation paper: a facilitator that never holds, guarantees or auctions member funds, and provides records admissible under the ETO 2002, is a registrar of private arrangements, not a deposit-taker.

The discipline layer inverts every accusation that killed the 400 lending apps, set against SBP's Business Conduct & Fair Treatment of Consumers framework (Oct 2025): no cancel-button trap (a five-level exit ladder), a 24-hour cooling window, affordability caps that protect the member FROM the group, no contact-list or gallery harvesting, no public shaming, no address publication. The undertaking and PG are lawyer-UNREVIEWED templates today, a budgeted Gate-2 counsel item, stated plainly rather than hidden.

Identity: the signup wizard

Every datum arrives because the member deliberately handed it over for a stated purpose, volunteered, purpose-bound, minimal, never harvested. This is the device-layer version of the no-custody thesis.

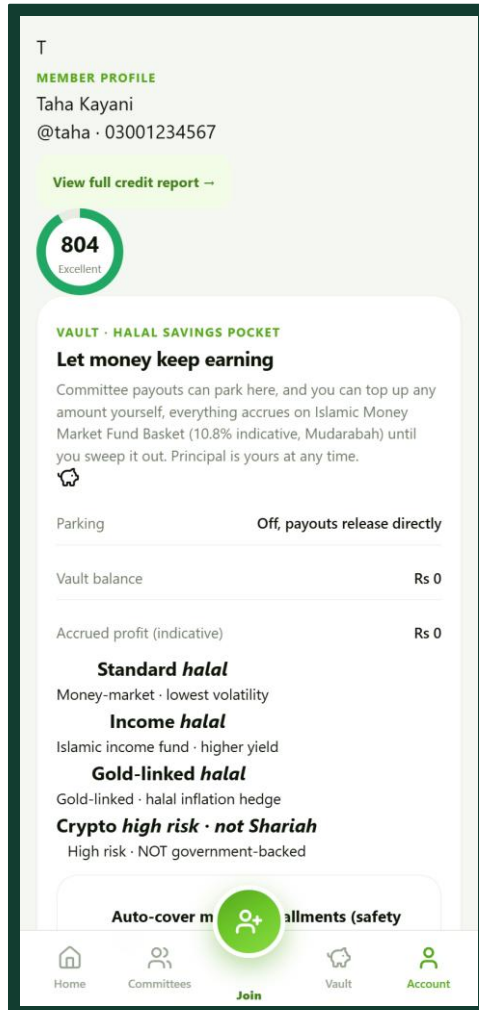
- | **The wizard** phone → OTP → name → profile → email → CNIC → account → password → PIN → review.
- | **Phone OTP** 6-digit, stored hashed in SecurityEvent keyed by phone (no user exists yet), 30-minute window checked at register, sets phoneVerified.
- | **App PIN on every open** pinHash = SHA-256 with a JWT_SECRET pepper, never returned (only a hasPin boolean). A full-screen keypad on every app open; in-memory unlocked state resets on reload; forgot-PIN falls back to password login.
- | **Optional device biometric** FaceID / fingerprint via WebAuthn, layered on the PIN, never leaves the device.
- | **CNIC capture by camera** scans the whole card Oraan-style, auto-reads the 13-digit number; unique, required at signup.
- | **Uniqueness enforced** on CNIC, phone and email. KYC level 1 (CNIC) unlocks hosting; level 2 is account verification, reserved for Stage-2 custody products.

Profile fields captured, and why

Field	Purpose
addressLine, city, locality	Traceability (the fraud control), service of notice; broad area only, never a house number is published
occupationType, employerName, jobTitle	Affordability, verification; the husband's job when occupation is HOUSEWIFE
homeLat / homeLng	One-time precise GPS pin, reverse-geocoded, member-initiated
CNIC	Identity, uniqueness, KYC level 1

The public trust surface exposes only broad location (city + sector) and the member's job, never the employer, never the house number. Reputation is derived from real payment/completion events, never self-reported (src/lib/reputation.ts).

The member profile and settings



Live production build, [halqa-seven.vercel.app](#)

One identity, one place

- One identity** name, handle and number, the live credit score (804, Excellent), and a link to the full credit report.
- The vault, in profile** Standard, Income, Gold-linked and Crypto sleeves, each labelled by risk and by whether it is halal; Crypto is flagged high risk and NOT Shariah.
- Halal savings pocket** committee payouts can park and top up, accruing on an Islamic money-market basket, 10.8 per cent indicative, Mudarabah.
- Auto-cover** missed installments can settle from the vault as a safety net.
- Settings and controls** linked payment methods, PIN and biometric, notification and language, all reached from here.

Identity: biometrics, location and the red lines

Stronger identity where it is worth the cost, and a hard boundary around the device: the harvest techniques that got 400 apps delisted are refused even with consent, because consent is not a defence to Google or SECP.

NADRA face match (BUILD / PARTNER)

| **Procured via the Nishan Pakistan portal** the contactless Multi-Biometric Verification Service, built at SBP’s request for banking and payments.

| **Once at onboarding, re-triggered on risk** a new device, an above-threshold contribution, claiming a first-half seat, ANY exit or hardship request (an impersonated exit is the cheapest attack on the restitution engine), and 90-day dormancy.

| **Cost discipline** the NADRA facial certificate is reported at Rs 20; Easypaisa charges Rs 99 for a FAILED check. Do not face-check trivial actions.

| **Never store raw templates or images** only the result and NADRA’s reference ID, the nano-lending data-abuse precedent.

Location, defensibly accurate

| **A one-time precise GPS home pin** member-initiated, reverse-geocoded, the accuracy ceiling we can defend.

| **Server-side IP geolocation** city-level, zero permission, as a free fraud cross-check against the declared home.

| **No background or continuous location** a separate Play declaration a committee app cannot clear; disappearance is detected better and free from our own telemetry.

Refused at the device layer, with reasons on record

Refused	Why
Contact-list harvesting	THE predatory-app signature; banned even with consent
Gallery / photo access	The banned apps morphed photos to coerce
READ_SMS / call log	Default-SMS-handler only under Play policy
Accessibility to read bank balances	Fastest Play-delisting trigger; reads the ENTIRE screen; detonates the moat
Background location	Un-clearable Play declaration
QUERY_ALL_PACKAGES	Banned

What survives every filter and is fair game: first-party telemetry (device fingerprint, behavioural biometrics, session timing, the best default predictor we own), and INCENTIVISED VOLUNTEERING, a fee discount for uploading a statement or linking salary. Same payload, consented, structured, better data. Grey telemetry stays invisible-and-defensive (fraud, risk), never visible-and-extractive.

Anti-money-laundering

The strongest AML control Halqa has is architectural: it never holds or moves funds, so the regulated money-laundering surface sits with the licensed aggregator and trustee, who already carry the CDD/STR obligations. On top of that, the platform adds real, consented controls.

| **No custody shrinks the surface** Halqa is never in the funds path, so it is not the reporting entity for the transfer itself, the licensed aggregator (an AML-regulated payment institution) and the CDC/DCC trustee are. Remittance committees ride a licensed rail that bears the FX AML entirely; Halqa never touches foreign exchange.

| **Identity at the front door** CNIC captured and made unique; NADRA Verisys / face match (Gate-2); account-title match at instrument linking, so a member's rail account must carry their own CNIC name, a name screen by construction.

| **Source-of-funds is proven, not assumed** the salary-verification engine ties inflows to a verified payday and employer; declared income is corroborated against our own collection pattern before caps rise.

| **Structuring and collusion detection** device, IP, referral, guarantor and address clustering flags accounts that transact as one, the same signals that de-cluster a HYPER circle catch layering and self-dealing.

The audit trail, and what Gate 2 adds

| **Every movement is auditable** a double-entry ledger in integer paisa plus an append-only AuditLog and a SecurityEvent table, transaction monitoring runs on a self-checking record, not on assertions.

| **Amount and velocity caps** affordability caps bound per-member exposure; concurrency and host ceilings are also the anti-Ponzi control; the cover facility is capped at four published levels.

| **Sanctions / PEP screening (GATE-2)** performed by the aggregator and NADRA at the point money moves; STR/CTR filing sits with the licensed rail as the regulated entity.

| **Data residency (open item)** the database is in Singapore today; in-Pakistan residency binds licensed lenders and becomes a migration the moment Halqa touches anything lending-adjacent, or if the PDP law generalises it.

Positioning line: the banned apps had to manufacture leverage over people they knew nothing about; Halqa does not, the committee brings its own, the seat is collateral, and the record is ETO-admissible.

Moving money: the rails and their cost

Members pay Rs 0 forever, so every rupee of rail cost is unrecovered and the chairman’s ceiling is Rs 300 per payment. That single constraint decides which rail is allowed at which ticket size, and it is why the free-for-members model survives only on Raast.

EXHIBIT 13 Cost of collecting one Rs 20,000 installment

Rail	Member pays	Halqa pays	Verdict
Raast RTP one-tap (push)	Rs 0	≈ Rs 0	Default for everyone, today
Raast direct debit (pull)	Rs 0	≈ Rs 0	The target; SBP scheme in testing, ~9-15 mo
Intra-wallet (same wallet)	Rs 0	Rs 0	Use when both sides share a wallet
Wallet pull under mandate	Rs 0	Rs 300-600	Fallback only
Card	Rs 0	Rs 693 (3.3%+Rs 33)	Not offered on standard circles
Cash via agent	Rs 0-50	Rs 20-60	Last resort; destroys the digital record

The binding constraint

installment ≤ Rs 10,000 → wallet pull allowed

installment > Rs 10,000 → Raast only

A 3% wallet pull breaches the Rs 300 ceiling above a Rs 10,000 installment. A twelve-member circle run a full cycle on card rails would burn Rs 52,272 in fees against zero member revenue. Raast at ≈ 0% is the only arithmetic under which free-for-members survives, which is why HYPER makes Raast a hard gate, and why the whole collection thesis rests on it. The cheque is gone as a security instrument (\$489-F dropped) and is not viable as a collection rail either, physical deposit, days of clearing, and dishonour risk on the wrong side of the payout date.

Raast, and the one question that decides the architecture

Raast is SBP’s instant payment system; its participants are regulated entities, so a fintech reaches it as a MERCHANT of a licensed aggregator, a commercial agreement, not a bank partnership. One email decides whether the record-only architecture holds exactly as documented.

The schemes, and which we use

Scheme	Our use
Raast ID (alias to IBAN + title)	Identity and the account-title check
P2P credit transfer (free push)	Payouts
Request-to-Pay (RTP)	The collection workhorse today, a tap to approve
Direct debit / recurring mandate	The TARGET, silent pull; unconfirmed, verify with SBP

On Raast today, “auto-debit” is a notification the member taps, not a silent pull. Silent pull exists only on wallets and cards, the expensive rails. The payday flagship still works, because the tap goes out on payday morning at the monthly-maximum balance, but it is a tap, and the product copy must not promise otherwise. Idempotency and reconciliation still hold: every RTP carries the PaymentAttempt.id, so a duplicate webhook is a no-op, and a daily settlement file is matched line-by-line against the ledger.

For cash committees, Halqa acts on behalf of the members under this P2P arrangement: it initiates the request, the money moves member to member, and Halqa never holds it. On the Version-A reading this needs no payment or deposit licence, only the aggregator merchant agreement, and that reading is the item to confirm in the counsel opinion. The ASSET committees do not use this at all: there a security trustee (CDC or DCC) holds the retained title, a separate structure set out in §III.

The question, in writing, before signing

Can Halqa initiate a Raast RTP in which the PAYEE is another member’s Raast ID, rather than Halqa’s own merchant account?

YES → true member-to-member. Halqa is never in the funds path; the record-only architecture holds exactly as the code assumes. Build (A).

NO → funds land in the AGGREGATOR’s settlement account and Halqa instructs a payout. The licensed aggregator holds; Halqa has instruction rights, no beneficial ownership, and the counsel opinion must confirm in writing that this is not custody by Halqa. Build (B).

Ask PayFast, Safepay and 1LINK this in writing before signing anything. The ledger already models member→member, so answer (A) needs no change. Get the MDR schedule, third-party payee support, same-day settlement, webhook replay behaviour and reversal mechanics in the signed document, not an email.

Build: a RaastProvider behind the existing payment-provider interface (resolveAlias, createRTP, getRTPStatus, credit, signed webhook), keeping the 501 soft-fail as the unconfigured path, so nothing above the provider layer changes. Rollout: sandbox → a Rs 10 live transfer → one real circle → general availability.

The ledger and the database

The whole company exists to stop a payment being an assertion and make it a settlement. That requires a record that cannot silently drift, so the engineering invariants below are not niceties, they are the product.

| **All money is integer paisa in BigInt** no floating point anywhere, binary floating point cannot represent most decimal fractions exactly, and the residue is invisible until reconciliation fails. Rates apply as basis points with integer division.

| **Every movement is a double-entry pair** LedgerEntry writes both legs, so the ledger is self-checking; net-off writes both legs too, and only the cash nets.

| **Every write carries an idempotency key** a retried request, normal on mobile networks and under serverless timeouts, is applied exactly once.

| **Production migrations are additive-only hand-written SQL** so old and new code both stay correct through a deploy; a blind prisma db push against production is blocked by policy.

| **Append-only audit log + security-event table** every vote, abstention, consent, settlement and admin action is a permanent entry, the raw material of the evidence pack and of ETO-2002 admissibility.

The stack, and the serverless facts

Layer	Choice
API	Node + TypeScript, Prisma ORM (parameterised, injection is structurally unavailable)
Database	PostgreSQL on Supabase, Singapore region
Web	React + TypeScript on Vite, mobile-first PWA
Hosting	Vercel serverless, API and web
Collection	Vercel Cron daily 02:00 UTC (node-cron does not run serverless)

Serverless gotcha, fixed: Prisma's default pool exhausted the pgbouncer connection under load (P2024 timeouts). The fix appends connection_limit=1&pool_timeout=20 at runtime without ever rewriting the secret. Live since 20 July 2026: 56 users, 48 committees, 161 memberships, 64 payments, 401 audit rows, all sandbox-settled; no real money has moved yet.

The algorithms, part one: risk and credit

Every control in the deck is one of these pure, tested, heavily-commented modules in `src/lib/`. Cutoffs and weights live in one file each, so retuning is a one-line change. The formulas are transcribed from the shipped code.

| **score-bands.ts** cutoffs 550 / 650 / 750 on the 300-850 scale. `allowedPositions`: Rebuilding → last 3 seats; Fair → second half; Good/Excellent → any. Tenure quarantine (`REQUIRED_CLEAN_CIRCLES = 2`) overrides the score. `fromTasdeeq()` maps TASDEEQ 200-600 → Halqa 300-850, linearly and invertibly.

| **forward-liability.ts** `required security = coverage × contribution × (totalRounds – round)`; satisfied by a host-verified commitment (default 100% cover) or a pot holdback capped at `maxPotHoldbackBps` (default 60%); a security-driven holdback releases only when all remaining installments clear.

| **salary-pattern.ts** `MIN_MONTHS 2, DAY_TOLERANCE 3, CLUSTER_TOLERANCE 5, MISDECLARE_SCORE_DELTA –15`; `readPattern / readSignals / evaluateSalaryPattern` turn the collection log into a verified payday.

| **reputation.ts** derived only from real payment and completion events, hosted-completed, clean completions, on-time %, missed, default flag, never self-reported.

`risk-engine.ts`, the six-factor model (HALQA-RM-2.0.0)

Factor	Weight
Member reliability (credit)	0.22
Payment behaviour (on-time)	0.18
Instrument risk (market)	0.18
Maturity mismatch (liquidity)	0.16
Capital at risk (allocation)	0.14
Concentration	0.12

Weighted factors, each 0-10, are mitigated by a control-strength term (deposit coverage, payout buffer, liquidity reserve, guarantor, average score) and mapped to a 1-10 score and a band, LOW ≤3, MEDIUM ≤6, HIGH ≤8, else EXTREME, with a required-coverage target of 30 / 50 / 70 / 90% of post-payout obligation. It also carries a 99-strategy catalogue partitioned into ACTIVE, GUARDED (a licensed partner unlocks three), DEFERRED and REJECTED, with the conflict decisions recorded and hashed, so an auditor can see exactly which strategies were turned off and why.

The algorithms, part two: the economic engines

These price the position, reward the behaviour, and split the pool. All are self-balancing or conserving by construction: the time-value schedule nets to zero, the distribution conserves every paisa, and points can never become money.

time-value.ts, the fair price of a turn

$$\text{value}(k) = P/(1+i)^k - c \cdot [1-(1+i)^{-T}]/i$$

A lump sum in month one is worth more than the same sum in month twelve. Setting value(k)=0 gives the NEUTRAL seat, around position 6.4 of 12 at a 12% household cost of money (DEFAULT_ANNUAL_RATE), not the last seat where a naive fee schedule tapers to zero. This runs across the WHOLE spectrum: every seat before neutral pays an early-position fee, and every seat after neutral is CREDITED out of that same pool. Concretely, the last member is paid a credit funded by the first, so the person who waited longest takes a cut of what the person who collected earliest paid in. TRANSFER_SHARE = 0.60, so the fee never fully strips the advantage; the schedule self-balances (fees equal credits) and Halqa takes nothing from the transfer, so members finish economically level, not just level in nominal rupees. It is optional in every circle type and off on Shariah-labelled tiers.

distribution.ts, capital-days, conserving

allocateCyclePool splits an investment-circle pool into principal (weighted by paid principal) and profit (weighted by capital-days, auditable and economically causal, unlike host or turn-position premiums, which were REJECTED by the risk engine as hidden redistribution). The last account takes the rounding remainder, so every paisa is conserved with integer arithmetic. Uniqueness of accounts is asserted; negative pools throw. This is the profit engine behind the dormant SUKOON/BAZAAR/SIGMA earning tiers, which stay switched off until the Stage-2 trustee structure exists.

rewards.ts, streaks and points, kept apart from score

Event	Points	Score
On-time installment	+10	+2
Paid 3+ days early	+15	+2
Circle completed clean	+200	+200
Paid FOR another member	+50	0 (neutral)
Missed	0	streak resets

- | **Two currencies, deliberately apart** POINTS buy retail discounts; SCORE gates which seats you may claim. Points never buy score, and score is never sold, blur them and the score stops measuring risk.
- | **Streak multiplier** +5% per consecutive clean round on POINTS only, ceiling +50%. Score gain is capped at SCORE_GAIN_CAP_PER_CYCLE = 40 so it cannot be farmed with tiny circles.
- | **Never cash-redeemable** cash-redeemable points are a stored-value instrument, the EMI licence. This one rule keeps the whole scheme outside that perimeter.

V

Credit, rewards and the vault

A settled repayment history is the asset a notebook can never produce.
It becomes a formal credit identity, a reward that funds itself,
and, through a licensed trustee, never a bank, a savings layer that
yields, cures default, and carries the durable revenue of the company.



How credit works here

The committee repayment obligation outranks rent, so it is the hardest signal a household owns. Because Halqa SETTLES rather than asserts, that signal becomes a credit history a khata app can never build, which is the entire moat.

| **The Halqa credit score** 300-850, opening 700; the live app shows an 804 (“Excellent”) reliability report built from the member’s real committee record. Bands: Rebuilding <550, Fair 550-649, Good 650-749, Excellent 750+.

| **It gates, it never reorders** the score only controls which free seats a member may claim and whether they may buy turns, nobody is ever silently moved. Credit-weighted reordering was removed as confusing and unfair.

| **Credit events, with reasons** every on-time payment, completion, miss and default is a CreditEvent carrying its cause, rendered as a score-movement chart the member can read.

| **The Credit Passport** signed and verifiable WITHOUT a Halqa account, it renders as HTML in a browser, so a landlord, employer or lender can check it. Scoped explicitly to on-platform history, endorsing no outside arrangement.

| **The on-ramp** N clean circles → a pre-approved formal product by referral; the institution pays origination, never the member. Halqa is the on-ramp to formal finance, not a substitute for it.

Why the notebook competitor cannot follow

Mehmood et al. (2018) map four ROSCA-app models. Model 1, a record-keeping app, CANNOT produce a credit history, because its payments are asserted, not settled. That is precisely why the khata apps (Udhaar, DigiKhata) ship a committee register but no usable credit signal, and why they are the most plausible fast follower only if one bolts on settlement. Model 2 is Halqa exactly; model 3 is the public/marketplace tier; model 4 (a bank bears default) is excluded by directive.

Esusu is the proof of the whole thesis: it began as a ROSCA app, pivoted to rent-reporting, recording an obligation people already honour, and became a billion-dollar company in 2022. The value was never in moving the money; it was in recording it. Halqa is that thesis applied to the committee, where the obligation is already the household’s highest priority. The abuse-detection layer scopes the Passport to on-platform history for a reason: manufactured credibility is exactly what a fraudster needs most, and the one asset the company must never hand over.

The credit bureaus, and how we join

The state bureau is closed to a non-bank, but the private bureau is not, because it already ingests non-financial alternative data. Furnishing consented committee data earns query access back, the member wins a formal credit identity, and Halqa becomes the only source of informal-committee data in the country.

EXHIBIT 14 The three bureaus, and their limits for a non-FI facilitator

Bureau	Type	Status and limits
eCIB	State (SBP)	CLOSED. Members are regulated FIs only. The only way in is the NBFC/MFB licence we avoid.
TASDEEQ	Private, SBP-licensed	OPEN via a bespoke subscriber contract. Ingests non-financial alt-data (telecom, utilities, insurance), so committee data likely qualifies. Scale 200 to 600.
DataCheck (Aequitas)	Private, SBP-licensed	The other licensed private bureau. Same shape, no public signup. Use it as the SECOND source so we are never single-bureau.

- | **Pull, read a score at signup with consent** doable as a subscriber. Karandaaz, a non-bank, signed a TASDEEQ data agreement, so the precedent exists.
- | **Contribute, furnish committee repayment data** likely open as an alternative-data contributor. Note the limit: furnishing DEFAULT data by a non-credit-institution may need a Federal-Government notification, while positive alt-data looks more open. Confirm which governs.
- | **Reciprocity** bureaus run on it. Furnishing typically EARNS query access back, a two-way membership. Their coverage skews to the already-banked, so informal-committee data is genuinely new to them, which is our leverage.

Stage-tag every bureau claim as PARTNER AGREEMENT (the pull-only subscriber path) or the contributor path, never FUNCTIONAL. The furnishing does not require the bank keystone; the alternative-data-contributor route is the clean one.

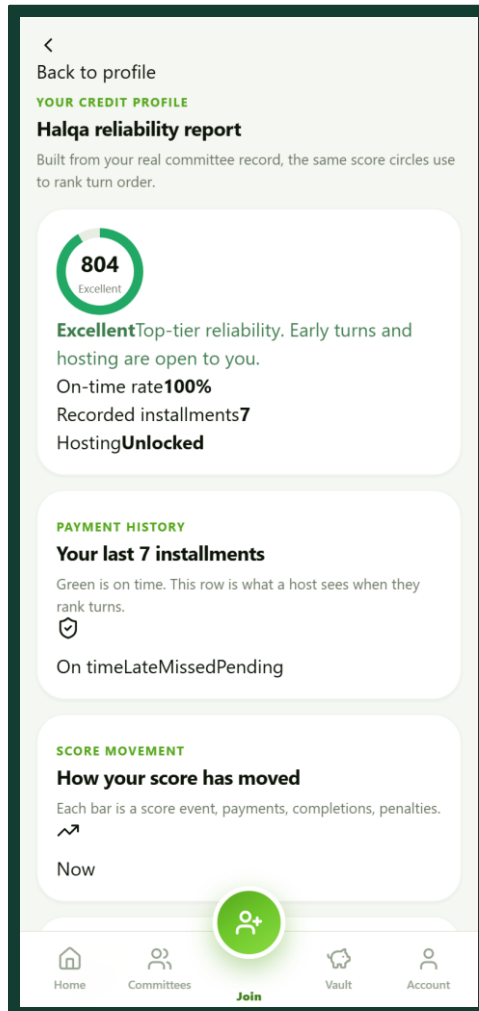
The credit-builder committee, a product people join FOR

Once the furnishing agreement is live, a circle marketed as “join to build your credit score,” powered by TASDEEQ furnishing, turns the bureau integration into the reason a member signs up. It is the legitimate, chairman-endorsed version of “sell score access”: consented, through the regulated channel, and the member WINS. It also feeds the formal-finance on-ramp, because a thin-file member who completes clean circles now has a file.

Live scaffolding today

- | **The undertaking already carries bureau consent** TASDEEQ / DataCheck / eCIB consent plus a delegated credit-check clause.
- | **A bureau-impact audit queue is live** a BUREAU_IMPACT_QUEUED entry is written on a miss or default, ready to feed the export the day the furnishing agreement is signed.
- | **To confirm with counsel** that committee data qualifies under contributor terms, the exact consent wording the Act mandates, and whether furnishing default vs positive-only data changes the requirement.

The credit report, on the phone



Live production build, [halqa-seven.vercel.app](#)

A settled record, not an assertion

- The reliability report** 804, band Excellent, built from the real committee record, the same score circles use to rank turn order.
- On-time rate 100 per cent, 7 recorded installments, hosting unlocked** the signal a khata app can never produce, because it settles rather than asserts.
- Payment history** on time, late, missed, pending. This row is what a host sees when they rank turns.
- Score movement** every bar is a credit event: payments, completions, penalties, each with its reason.
- The Credit Passport** the same record, signed and verifiable without a Halqa account.

Rewards, and how they fund themselves

The reward system is attached to on-time payment and to nothing else, because that one behaviour moves expected loss, the price, the score and the value of the data asset. And the ladder is paid for by someone else.

The partner ladder, by streak

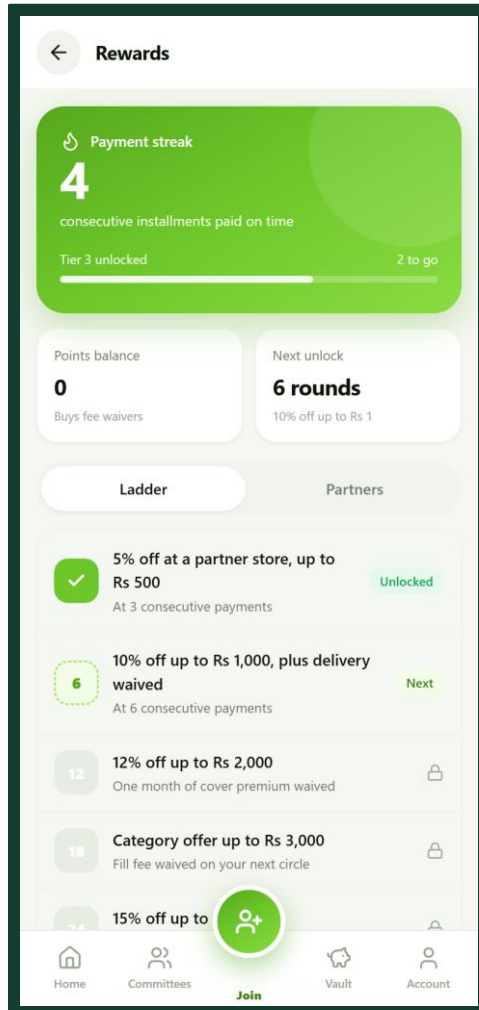
Clean rounds	Reward (funded by the retailer)
3	Five per cent with a partner retailer
6	Ten per cent, plus delivery waived
12	Twelve per cent, or one month of Halqa charges waived
18	Category offer, or a placement fee waived
24	Fifteen per cent, or an early-position fee waived
36	Top tier, or early-position fee + a month of charges waived

Each tier's reward is the RETAILER's own promotional discount, offered to an audience qualified by a year or more of demonstrated payment behaviour, customer-acquisition spend for them, reaching a segment they cannot otherwise identify, and Halqa earns an affiliate commission on the resulting order. So the reward is the retailer's discount and the revenue is the retailer's commission: the scheme funds itself and grows with members, not with circles. The redemption menu also lets points buy Halqa-side waivers (early-seat fee, slot fee, a month's cover premium, a marketplace commission, a waitlist priority token that jumps the QUEUE, never the seat order), but never cash.

The organiser incentive, value, never depth

- | **Reward the group leader on VALUE, not recruitment depth** recruitment-chain compensation is an illegal pyramid, FIA and SECP prosecute. Single-level only, NEVER multi-level.
- | **Mechanisms** a completion bounty per clean-finished circle, a single-level revenue share on their circles' fee revenue, a tiered "Verified Organiser" status (reputation is their real currency), free Halqa-fill and fee waivers, accelerated score, first access to new products.
- | **Why the organiser is the engine** every case in the archive that scaled did it through agents (Mapan's village leaders on commission, Money Fellows' circle leaders). The member → organiser conversion is the only endogenous growth loop.
- | **Referral (live)** User.referredById, Rs 250 to the referrer on the referred member's first completion, paid on VALUE (a completion), not on signup.

Rewards, on the phone



Live production build, [halqa-seven.vercel.app](#)

One behaviour, rewarded, never cash

- Payment streak** 4 consecutive installments paid on time, the single behaviour the whole model rests on.
- Tier 3 unlocked, two to go** the six-tier partner ladder (3, 6, 12, 18, 24, 36 clean rounds), each tier a retailer-funded discount.
- Points balance** buys fee waivers. Points are a loyalty currency, kept strictly apart from the score, and never redeemable for cash.
- Next unlock in 6 rounds** the streak multiplier adds 5 per cent per clean round on points, capped at plus 50 per cent.
- Funded by someone else** the reward is the retailer promotional discount; Halqa earns an affiliate commission, so the scheme funds itself.

The institutions to approach

Akif named CDC, a trustee and an online AMC. This is the complete map. Every entity needs its licence status verified before it is named in a document that leaves the building; each is a commercial relationship, never an equity or custody dependency.

EXHIBIT 15 Who does what, and why them

Need	Candidates	Note
Trustee / custodian AND security trustee	CDC · DCC	CDC (Central Depository Company) is the standard trustee for every Pakistani mutual fund; it holds the fund assets and the retained asset titles, with units in the member's OWN name. DCC (Digital Custodian Company) is the SECP-licensed second source. ONE relationship, two products; qualify both, single-sourcing is a commercial risk.
Digital AMC	Mahaana Wealth	Mahaana, Pakistan's first fully digital SECP-licensed AMC, almost certainly the one Akif meant. It MANAGES the fund under its own licence; the assets sit with the trustee, so Halqa only distributes and records. Al Meezan is the established alternative.
Islamic money-market funds (daily liquidity)	Al Meezan (Rozana Amdani) · NBP · UBL Al-Ameen	Daily-dividend, built for the pull-on-the-9th, pay-on-the-10th cadence
Ijarah / installment title-holder	Orix · First Habib · Allied Rental modarabas	Can hold title and write ijarah without Halqa holding any licence
Takaful, cover reinsurance + credit-life	Pak-Qatar · Salaam · Jubilee · EFU	Aggregate cover above the attachment point, plus credit-life at 0.2-0.5% of exposure
Credit bureau	TASDEEQ · DataCheck	Reads via a direct subscriber agreement; no FI partner required
Identity / Rails / Funding / Regulator	NADRA (Nishan) · 1LINK/PayFast/Safepay · Karandaaz · SECP Sandbox	NADRA is the long pole, start now. Karandaaz already funded the research that validates the design.

Credit-life takaful removes the most sympathetic default case: on a Rs 120,000 pot, Rs 240-600 for the whole cycle buys “if you die, your family owes nothing”, the strongest trust line available to a company that cannot yet promise returns.

The savings layer, through a trustee, never a bank

Akif told us to revive the vault, and to do it through a licensed AMC and trustee so Halqa never holds money. Under the NBFC Regulations 2008, every regulated fund’s assets already sit with a trustee, so the structure exists; Halqa is only the distributor.

The path, Halqa never appears in it

member → trustee collection account → fund units in the member’s OWN name → redemption to the member’s OWN account

- | **Not EMI** no balances are issued, so no electronic-money licence.
- | **Not NBFC** no funds are deployed BY US, the licensed AMC does that under its own licence.
- | **Distributor registration only** an SECP mutual-fund distributor registration; investment-adviser licensing is avoided by an execution-only menu that recommends nothing, ever, in the UI.
- | **No bank at any point** the only bank account anywhere is Halqa’s own operating account (Gate 1), which is not a partnership.

The three products

Product	Mechanism / member benefit
Growth Vault	Voluntary savings into an Islamic money-market or income fund, ~10-11% against 11-12% inflation, money that earned zero now earns something
Safety Vault	The same holding, PLEDGED, with a lien to the circle. A member with a pledged buffer covering L(k) cannot default up to its size
The Float	Contributions buy units in the payer’s own name on pay-in, redeem on payout day, small (Rs 207 per round on a Rs 120,000 pot); a benefit, never a revenue line

Built but hidden today: vault sleeves STANDARD/INCOME/GOLD/CRYPTO (CRYPTO behind an acknowledge-extreme-risk gate), the earning engines (profit-engine.ts, sukoon.ts), security deposits and payout holdbacks, switched on, several would constitute pooling or deploying member funds, which is exactly the NBFC trigger. They return under the Stage-2 trustee structure.

The Safety Vault lien

Akif's sentence, "if a member keeps money in it, they can't default", is only true if the pledge is a real instrument. A vague pledge is worthless. This is the single most valuable legal document in the Stage-2 stack.

| **A pledge / charge over units** registered with the trustee, in favour of the circle's MEMBERS, never in favour of Halqa, matching how the mutual PG is already written.

| **An irrevocable redemption mandate** signed at pledge time, naming the trigger (a confirmed missed contribution) and the beneficiary (the round's recipient).

| **On a confirmed miss** Halqa INSTRUCTS, the AMC redeems, the trustee pays the round's recipient directly. Halqa never receives the money, never holds it, and never decides discretionarily, the trigger is mechanical.

| **Release** the pledge releases automatically at circle completion, or steps down as forward liability falls.

Why this is the keystone document

It converts a sentence into an enforceable mechanism, and it is what makes the consumer/saver split real: a saver who pledges their own units cannot default up to the pledge, so their forward liability is collateralised by their own money, held by a licensed trustee, in their own name, never by Halqa. That is the same institutional slot as the asset-circle security trustee, so CDC or DCC serves both mandates in one relationship. It is a counsel item, and the reason §V matters twice.

The set-off order on default puts the pledged Safety Vault first, redeem, pay the recipient, before any Growth Vault units (which require a separate signed set-off clause and a 7-day cure), before pot deductions, before the recovery case. Two rules never bend: the set-off runs in favour of the circle's members, never Halqa; and Halqa never seizes, it instructs a trustee under a pre-signed mandate. This is the mechanism that lets Halqa answer "do you cover defaults?" with "the member's own pledged savings do, automatically, and we never touch them."

Liquidity, and where the revenue is

Pulling on the 9th and paying on the 10th needs a same-day-liquid fund, but the design must not depend on one. And the float everyone notices is not the revenue; the distributor trail nobody mentions is two orders of magnitude larger.

The liquidity invariant

Islamic daily-dividend money-market funds (Al Meezan Rozana Amdani and peers) are built for same-day or T+1 redemption, which is why they are the right instrument. But the hard, tested invariant is: NO payout ever waits on a redemption. The 10th is funded from the AMC settlement account or the cover facility, and the redemption settles behind it. A payout that is late because a fund did not settle would destroy more trust in one morning than the float earns in a decade.

The float, sized honestly

Pot Rs 120,000 · mean hold 6 days · 10.5% yield	
$120,000 \times 0.105 \times 6/365$	= Rs 207 / round
Over a 12-round cycle	= Rs 2,486 / circle
Halqa's 10% share	= Rs 249 / circle-year

Rs 249 per circle per year is not a revenue line, it is a member benefit and a marketing line (“your committee money earns while it waits”). Present it as exactly that and nothing more. Ninety per cent of the float profit goes to members; Halqa takes ten.

Where the durable revenue actually is

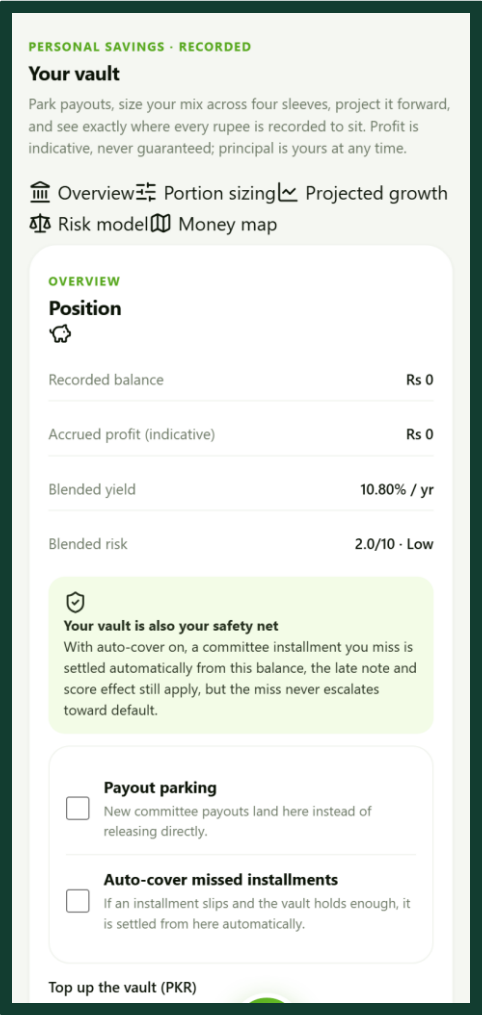
Float profit share (Halqa 10%)	≈ Rs 249 / circle-cycle
Distributor trail, 0.5-1.5% p.a. of AUM	
at Rs 1bn of vault AUM, 1% trail	= Rs 10,000,000 / year

The trail is roughly forty thousand times the float per unit of effort. Build the vault for the trail and for the default cure; treat the float as a feature. The saver is where the AUM, and therefore the durable revenue, lives; the consumer is where the risk and the merchant commission live. A circle that is all consumers should not be allowed to form: a healthy roster needs late seats people actually want, which the vault’s yield makes possible for the first time.

The rung ladder, order cannot change

1 Collection (settlement, not assertion) → 2 the record (circles COMPLETED, not signups) → 3 the bureau link (the record becomes a formal signal) → 4 commerce and the on-ramp (where the revenue is) → 5 the savings layer (vault + float via CDC). Each rung is reachable only because the one below it exists, and attempting them out of order is the most common way companies here waste a year.

The vault, on the phone



Live production build, halqa-seven.vercel.app

Held in the member’s own name

- | **Position** recorded balance, accrued profit (indicative), a blended yield of 10.80 per cent a year and a blended risk of 2.0 out of 10. Nothing is guaranteed; principal is the member’s at any time.
- | **The views** Overview, Portion sizing, Projected growth, Risk model, Money map. The member sizes their own mix and projects it forward.
- | **Your vault is also your safety net** with auto-cover on, a missed installment is settled from this balance; the late note and score effect still apply, but the miss never escalates toward default.
- | **Payout parking** new committee payouts can land here instead of releasing directly, so they keep earning until swept out.
- | **Held by the trustee** at Stage 2 the units sit with a licensed trustee in the member’s own name, never with Halqa.

VI Security, economics and go-to-market

A trust company is killed by a breach or a hostile story before a regulator.

So the security posture, the data boundary, the fee book, the marketing motion and the business model are all built around one test, does this read as the platform protecting the member, or extracting from them?



Application security

A B+ posture with gaps named, not hidden. Web dependencies report zero known vulnerabilities. The controls below are live in production; the open items are on the next page, stated plainly.

- | **Transport and headers** TLS + HSTS; a Content-Security-Policy on both apps via helmet.
- | **Passwords and sessions** bcrypt cost 12; JWTs with ROTATING refresh tokens and reuse detection that burns the whole token family on replay.
- | **Brute-force resistance** per-account lockout (5 failures → HTTP 423 for 15 minutes); 30 attempts per 15 minutes globally; enumeration-resistant timing.
- | **Injection is structurally unavailable** Prisma parameterises every query; there is no string-built SQL to inject into.
- | **Secrets and audit** assertSecretsStrong at boot refuses to start on weak secrets; an append-only AuditLog and a SecurityEvent table record every sensitive action.
- | **Card data** only brand + last4 + expiry + holder + billing address are stored; the PAN and CVC are NEVER persisted (PCI).

More of the stack, specifically

- | **Secrets by environment** every key is injected as an encrypted Vercel environment variable, never committed; assertSecretsStrong refuses to boot on a weak value.
- | **Deploy safety** production schema changes are additive-only hand-written SQL applied before the deploy, so old and new code both stay correct and a rollback never corrupts data. A blind prisma db push against production is blocked by policy.
- | **Serverless resilience** the Prisma pool is pinned to connection_limit=1 with a 20-second pool timeout, so a traffic spike cannot exhaust the pooler; every write is idempotent, so a retried request settles once.
- | **Client safety** HTTPS only, no stack traces to the client, request-size limits, and an ErrorBoundary so a render fault never leaks internals.

The threat this company actually faces

For a trust-moat company the journalist threshold sits BELOW the legal one, a devastating exposé is a bigger extinction risk than the regulator. The defence is not secrecy (secrecy makes the break explosive) but building and framing each mechanism as genuinely member-protective, so the honest answer to a hostile question is boring. Three live red alerts are managed for exactly this reason: no sale of individual intent leads (reframed as Goal Direct-Pay), no public default flag (the flag is INTERNAL, gating hosting and marketplace, never a wall of shame), and the salary anchor is framed as member-protective with a pause-with-reason that costs score, not access, never “you can’t turn it off.”

Hardening on the roadmap, named not hidden

- | **Rotate the database password** chat-exposed on 20 July, still not rotated. Do it before real users.
- | **Least-privilege database role** move the app off the master role.
- | **Admin second factor and alerting** 2FA for admin access; alerts on error rates and failed-login bursts.
- | **External penetration test** when a counterparty requires one.

SECURITY_RELAXED=true disables lockout, password and replay checks for local testing only; the suite auto-detects and skips those. 97 unit tests and the integration suite pass green; both packages type-clean.

Data protection

The whole pitch is “we are the one that does not do what those apps did.” A single screenshot of a harvesting permission ends that sentence, so the data boundary is not a compliance chore, it is the product’s core asset, defended structurally.

| **Volunteered, purpose-bound, minimal** every datum arrives because the member handed it over for a stated purpose. The device-layer version of the no-custody thesis: structure, not promises.

| **On-device, hashed matching only** the contact check that matters, each member having the HOST saved, is done on-device with hashed matching, so no address book ever reaches Halqa. Contacts, gallery and SMS are never requested at all.

| **Never store raw biometrics** only the NADRA result and reference ID; never a template or an image.

| **Incentivised volunteering beats scraping** a fee discount or score boost for uploading a statement or linking salary yields the same payload, consented, structured and better, and it survives every Google and SECP filter forever.

| **Grey telemetry stays invisible-and-defensive** device fingerprint, behavioural biometrics, session timing used for fraud, security and risk pricing, never visible-and-extractive profiling of inferred wealth for sale.

The precedent that sets the red line

Pakistan’s 2023-25 nano-lending crackdown removed 400+ apps and made arrests, after a recovery playbook of contact-and-gallery harvesting, shaming calls, and morphed photos, a Rawalpindi borrower went from Rs 13,000 to Rs 100,000 owed to a suicide. SECP Circulars 3/10/14/15 of 2023 and Google Play (31 May 2023) banned the entire toolkit, contacts, gallery, precise location as a lender, READ_SMS, QUERY_ALL_PACKAGES, mostly EVEN WITH CONSENT. So consent is not a defence, and these are named criminal patterns to cite, not abstractions to argue around.

The credit-alert listener is defensible ONLY because of four properties stated in plain words on the consent screen: notification access not SMS, opt-in, on-device parse, aggregates-only upload.

The best single line for any room: they had to manufacture leverage over people they knew nothing about, so they harvested and shamed; Halqa does not, the seat is collateral, exposure is capped at about two installments, the circle is pre-existing, and the record is court-admissible.

Money-safety engineering, and the open items

What makes a settlement a settlement, and the operational and security work still outstanding before the platform opens to the public. Nothing here is hidden; the honest gap is part of the report.

What makes money safe here

- | **Reconciliation, non-negotiable** a daily aggregator settlement file matched line-by-line against the ledger, any mismatch alerting, without it a “settlement” is still an assertion.
- | **Idempotency everywhere** every write keyed, so a duplicate webhook or a retried request settles exactly once.
- | **No payout waits on a redemption** the Stage-2 hard invariant; the 10th is funded from the AMC settlement account or cover, the redemption settles behind it.
- | **Halqa never seizes** it instructs a trustee under a pre-signed mandate, or hands an evidence pack to a court; the set-off always runs in favour of the circle’s members.
- | **Distinct failure semantics** EXPIRED resends; DECLINED escalates to a second rail; INSUFFICIENT_FUNDS re-attempts on the next detected credit alert.

Open operational and security items

Priority	Item
HIGH	Rotate the Supabase DB password (chat-exposed 20 July, still not rotated) before real users
HIGH	Wipe demo seed data from production before real users
HIGH	Build abuse detection for credibility-by-proxy before opening to the public
MEDIUM	Move the app off the master DB role to least-privilege
MEDIUM	A second factor for admin access; alerting on error and failed-login bursts
MEDIUM	Retain counsel, the undertaking and PG are unreviewed drafts

~~The credibility-by-proxy risk: Halqa manufactures verifiable credibility, which is exactly what a fraudster needs. The control set, cap concurrent circles per organiser, flag implausible growth, watch member concentration, scope the Passport to on-platform history, is cheap to build and protects the one asset that cannot be rebuilt.~~

The complete fee book

Members pay Rs 0 to join and Rs 0 to pay an installment, forever. Every charge below is on an OPTIONAL priced event or is paid by a counterparty. That boundary is what makes the Rs 0 promise true rather than marketing.

A · Member-borne, per round (cap: min(1.5%, Rs 300))

Charge	Open	Known	HYPER
Cover premium	1.5% (≤Rs 300)	0.5% opt (≤Rs 150)	3.0%

B · Pot-side, paid by the collector out of the pot

Charge	Formula / rate
Early-seat fee	base × (n−k)/(n−1); 100 / 175 / 250 bps open / known / HYPER
Salary-verified discount	× 0.8
Slot fee (Halqa fills a seat)	Rs 500 flat, ×0.8 if verified
Marketplace / sponsor / auction	10% of the accepted premium

C · Event-driven

Charge	Open	Known
Late ladder (of installment)	3 / 7 / 12%	1 / 3 / 6%
Exit fine	1 installment, 70% to members, 30% Halqa	same
Rehabilitation on recovery	10% of outstanding	10%

D · Counterparty-paid, where the real money is

Line	Rate	Payer
Goal Direct-Pay commission	1-3% of value	Merchant
Ijarah origination referral	2-4% of asset	Modaraba
Vault distributor trail	0.5-1.5% p.a. of AUM	AMC
Float profit share	10% of profit	Fund
Aggregate market insights	negotiated	Banks, FMCG
White-label engine	licence fee	Licensed FIs

On Shariah-labelled circles, late fees route to the CIRCLE'S OWN POOL, not to Halqa, a fixed penalty retained as income is impermissible, but passed to the injured members it is compensation. The flat Rs 100-per-installment option (chairman directive, 13 Aug) is the break-even fee on an open circle at a 1.0% modelled default rate; Rs 275 gives roughly 3× cover, and known circles at 0.3% are comfortable at Rs 100. Every number is a proposal until the first hundred completed circles measure q and reprice the whole book from $r \approx 1.5q$.

Unit economics, and the channel model

The member-facing fees are small by design. The business is the institution-paid channel: deposit mobilisation, per-member SaaS, flow cuts, the AMC trail, takaful and receivables, the member’s profit share is never touched.

EXHIBIT 16 Margin per member per year, by product

Product	Premium	Expected loss	Gross margin
Standard monthly (Rs 20,000 × 12)	Rs 3,600	Rs 1,100	Rs 2,500
HYPER (Rs 500/day, 60d, ×6 cycles)	Rs 54,000/cy	Rs 17,700/cy	Rs 3,630 / member-yr
Asset circle (per completed circle)	counterparty	title-secured	Rs 3,600-8,400

The break-even and its levers

Break-even default rate $d^* = \varphi T / [(c+\varphi)(T-m)]$; required fee $\varphi = d \cdot c(T-m) / [T-d(T-m)]$. On a 12×12×Rs 20,000 open circle, Rs 100 per installment gives a break-even default rate of 1.085% against a 1.0% modelled rate, coverage ratio 1.09, essentially no margin; Rs 275 gives 2.96%, about 3× cover. Asset circles add recovery: $L(k) = \max(0, c(T-k) - \varphi k - h \cdot V(k))$, $h \approx 0.70$ forced-sale rate, so a deposit of $P(1-h)/h \approx 43\%$ of the pot removes all risk.

Acquisition, payback and margin

- | **Near-zero CAC** the motion is field sales to existing organisers; signing one organiser brings a whole circle with its trust graph, so acquisition is a visit, not ad spend.
- | **LTV compounds on retention and AUM** HYPER runs six cycles a year with rejoin priority, and the vault trail earns for as long as a member saves, so value builds on retention, not a one-off fee.
- | **A worked institution line** a white-label partner with 50,000 members pays about Rs 49 per member per month, Rs 2.45M a month of SaaS, before the deposit trail on any AUM they place.
- | **High contribution margin** the member costs almost nothing: Rs 0 on the Raast rail, a reward budget funded by retailers, and no pot capital fronted, since under 8% of slots need own capital (Money Fellows).

The institution-paid channel model

- | **Deposit mobilisation** ~1.25% p.a. on vault AUM, the distributor trail (Rs 10M at Rs 1bn AUM).
- | **Per-member SaaS** ~Rs 49 / member / month to institutions running white-label circles.
- | **Flow cuts** Goal Direct-Pay and ijarah origination, paid by merchants and modarabas.
- | **Takaful and receivables** cover reinsurance and credit-life lines.
- | **Ad revenue, honestly sized** at 100k DAU, ~30k rewarded-video views a day $\approx$ Rs 380k-1,000k / month. Real, worth taking, not a business, and cannot be scaled by adding surfaces, there is one ad surface by rule.

The old “5% of profit” member-fee copy is stale. Member profit share is untouched; the revenue is institution-paid. Annual committee flow in Pakistan is ~Rs 4 trillion, the addressable channel, not the take.

Marketing

The highest-return growth motion is field sales to existing offline organisers, and it is the one every competitor skips because it does not scale from a laptop. It is also the only one that fits an atomic-network product.

| **Field sales to offline organisers** every case in the archive that scaled did it through agents (Mapan's village leaders, Money Fellows' circle leaders). Sign the organiser, and the whole circle arrives with its trust graph intact.

| **The organiser is the only endogenous loop** member → organiser conversion compounds; signups do not. Reward organisers on VALUE (completions, single-level revenue share, Verified Organiser status), never on recruitment depth.

| **Atomic networks, not vanity metrics** a committee is atomic, it works at twelve people who already know each other, so the unit of value is a circle COMPLETED clean, not an install.

| **Voice** Roman Urdu first, English underneath ("Apni committee, apnay log. Hisaab humara."), not stylistic: only 31% of committee users can read an SMS. 15 rotating regional greetings on Home (Urdu, Punjabi, Pashto, Sindhi).

| **Sticky, low-competition hooks** seasonal Islamic circles (Qurbani, Ramadan, Hajj), the gold-goal committee (the inflation hedge, spot-settled and Shariah-clean), the credit-builder committee, merchant-sponsored "save for X" circles (solar is strong).

The five numbers that tell you it is working

| **Share of installments settled digitally** the health of collection, and the single most important number, a ledger of assertions is worth nothing.

| **Circles completed clean** the atomic unit of value. Signups are vanity.

| **Circles per organiser** whether the growth loop compounds or leaks.

| **Measured post-payout default in the first 100 completed circles** the moment 0.3-1.4% stops being a model and becomes a fact.

| **Member-to-organiser conversion** the only endogenous growth loop.

Growth and expansion

The theme the chairman approved: grow by making the MEMBER more valuable to the outside world, a credit identity, an on-ramp, a verified worker, family savings, never by extracting from them, which is the moat-killer set. The one hard filter: legal.

Approved, build toward these

| **TASDEEQ two-way membership (flagship)** join the private bureau as a non-FI alternative-data contributor; furnish consented committee data → the member builds formal credit and Halqa becomes the only source of informal-committee data.

| **Organiser incentives** value-based, single-level, as above.

| **Formal-finance on-ramp** N clean circles → a pre-approved product by referral; the institution pays origination.

| **Remittance committees** a diaspora worker commits monthly, payout to family in Pakistan. HARD LINE: Halqa never holds or moves FX, ride a licensed remittance rail or a Roshan Digital Account; the partner bears the licence. SBP subsidises formal remittances (~US\$30bn), so it is policy-aligned and development-fundable.

| **Employer-endorsed committees** the employer endorses, does not run or see; free income verification and a perfect payday pull. “For later,” and HYPER’s launch channel.

Fresh batch, liked, not yet prioritised

| **Gold committees** the pot buys gold; the inflation hedge the late-turn saver needs. Never hold the metal.

| **Credit-builder committee** marketed as “join to build your score,” powered by TASDEEQ furnishing.

| **Seasonal Islamic committees** Qurbani, Ramadan, Hajj, timed, sticky, near-zero competition.

| **Merchant-sponsored committees** a brand subsidises a “save for X” circle for guaranteed bulk demand; free to members.

| **White-label engine to licensed FIs** they have the licence and capital and lack the committee product; B2B revenue with THEIR regulatory burden.

| **Aggregate market-insights** anonymised informal-savings trends sold to banks, FMCG and policymakers, never individual profiles.

| **Government / BISP channel** route social-protection transfers into committees; scale, policy alignment, and a government relationship as a moat.

What is refused, and what is still unsettled

A trust product is defined as much by what it will not do. Each refusal has a reason on record, and each open question is named rather than papered over, because silence on a hard question reads worse than an honest “not yet decided.”

Refused, with the reason

Refused	Reason
Auction / bidding committees	Discovered price is interest (~45-55% APR); India regulates it
“Lucky” / prize committees	A lottery; most pay more than they can receive
Installment holidays	Dissolves the commitment device (UBL ships this)
Unlimited platform default cover	Drifts to NBFC; killed eMoneyPool, bounded/priced instead
Member fees of any kind	Kazi’s Razq and Oraan stalled on fees; permanent Rs 0
Bank partner; custody of member money	Chairman directive; the architecture rests on their absence
Contact/gallery/SMS harvesting; accessibility	The predatory-app signature; delisting + moat death
Public default flag; address publication	Rhymes hardest with the loan-app scandal
Multi-level organiser comp; claiming we can jail	Illegal pyramid; civil default, verified false

Still unsettled, awaiting a ruling

- | **The cover-facility caps** and with them the answer to the Akif-versus-archive tension, never yet put back to him.
- | **The organiser guarantee** reproduce it via the cover facility, or state plainly that seat arithmetic replaces it. Both defensible; silence is not.
- | **The whole fee book** every number is a proposal until the first 100 circles measure q.
- | **The 48% APR ceiling on HYPER** hold it and take the duration (recommended), or raise it and run 30-day circles at higher fees.
- | **The spin** a wheel, or deterministic streak milestones (recommended, same revenue, none of the surface).
- | **Bank-affiliated AMCs** does “no bank partner” reach an SECP-regulated AMC whose shareholder is a bank?
- | **Published addresses** refused, with a stronger substitute (service-of-notice consent + evidence pack + status-not-address).

Where this stands, and what is next

The engineering is far ahead of the business, and nothing on the critical path to real money is a coding problem. Stated plainly, because overstating progress is the one thing this report exists not to do.

The honest current state

Dimension	State
Product	Live since 20 July 2026; deliberately not public
Data	56 users, 48 committees, 64 payments, all sandbox
Money	No real money has moved; blocked on the merchant deal
Company	Does not exist yet. No SECP registration, no NTN
Code	Both packages type-clean; 97 unit tests green
Regulator	Mentored by the sitting SECP Chairman; nothing formal

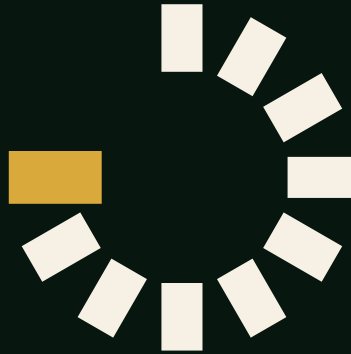
Blocking before any deploy: apply the two pending additive migrations (locality/jobTitle, salary-verification), then push the stranded commits. The GitHub push is blocked at the network (ISP-level SNI filtering, not a git problem), needing a VPN or a different network.

The ladder, and why the order cannot change: collection unlocks a credible record; the record unlocks the bureau link; the bureau link unlocks commerce and the on-ramp, which is where the revenue is; and only then the savings layer. Attempting them out of order is the most common way companies in this category waste a year.

If you can only do five things

- | **Apply the two migrations, then push** everything is blocked behind a working production.
- | **Gate 1, then Gate 2** make Halqa a company (Rs 20-30k, weeks), then sign the aggregator merchant agreement, collection is rung one, and nothing above it exists until real money moves.
- | **Build abuse detection before opening to the public** cap concurrent circles per organiser, flag implausible growth, scope the Passport to on-platform history, not after the first incident.
- | **Approach SECP voluntarily** seek the sandbox while the door is open and the mentor is engaged; get the model clause into the first consultation paper.
- | **Start field sales to offline organisers** the highest-return motion, and the one every competitor will skip.

The one-line summary: the engineering is far ahead of the business, and the entire critical path to real money is paperwork, a company, a merchant agreement, a counsel opinion, not code.



Apni committee, apnay log. Hisaab humara.

Your committee, your people. We keep the record, and we never hold your money.

HALQA · 17 August 2026